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UNITED NATIONS DEVELOPMENT PROGRAMME

PROJECT DOCUMENT

Republic of Armenia

Project Title: Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions – PHASE II

Project/Output ID: 00133238 / 00125350

Implementing Partner: UNDP

Start Date: 08 March 2021 **End Date:** 30 June 2025 **PAC Meeting date:** 01 March 2021

Brief Description

The objective of the project is to implement PHASE II of "Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions" UNDP-00118602/00115356 project and scale-up the support to Yerevan and other partner municipalities in promotion of urban green solutions to demonstrate greenhouse gas emissions reduction in line with municipal sustainable energy action plans. The project is in compliance with the national priorities to strengthen the economic and energy resilience of Armenia by promoting resource efficient and climate resilient growth. The project is to be implemented in cooperation with Yerevan municipality to support application of different financing instruments, including from the municipal revolving fund established in the framework of "Green Urban Lighting" UNDP-GEF project (completed in 2018).

SDG target 7.a: By 2030, enhance international cooperation to facilitate access to clean energy research and technology, including renewable energy, energy efficiency and advanced and cleaner fossil-fuel technology, and promote investment in energy infrastructure and clean energy technology.
UNDAF Outcome 7/CPD Outcome 4 (13): By 2020, sustainable development principles and good practices for environmental sustainability resilience building, climate change adaptation and mitigation, and green economy are introduced and applied. 7.4/4.4 Low carbon and 'green economy' issues become priority for the Government, supported by relevant regulatory framework and activities.
Strategic Plan Output 2.5.1. Solutions developed, financed and applied at scale for energy efficiency and transformation to clean energy and zero-carbon development for poverty eradication and structural transformation
UNDP Gender Marker: GEN 1

Total resources required:		$ 509,452.08
Total resources allocated:	**Government of Armenia (Yerevan Municipality):**	$ 501,452.08
	UNDP	$ 8,000.00
Total:		$ 509,452.08

Agreed by UNDP:

Name: Mihaela Stojkoska
Title: UNDP Resident Representative a.i.
Date: 08 March 2021

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I. DEVELOPMENT CHALLENGE

The overarching goal of this project is promotion of climate smart solutions at community/municipality level and reduction of emissions of greenhouse gases by increasing energy efficiency (EE) solutions in municipality activities through application of sustainable financing models. The immediate objective of the project is to support promotion of municipal lighting in Yerevan via implementation of municipal investment programs. The proposed project complies with the national priorities[1] to strengthen the economic and energy independence of the Republic of Armenia by promoting resources efficient and climate resilient growth commitments.

To realize this objective, the proposed project on initial stage will focus its activities to deliver specific outputs in city of Yerevan.

i) assist in replication of green lighting programs through established financial instrument – municipal revolving fund;

ii) support the city in leveraging investments from private and public sources for implementation of energy efficiency measures in delivering community services;

iii) collectively, these activities seek to put in place sustainable mechanisms for implementation of an energy efficiency action plan of Yerevan Municipality in lighting sector.

The financing opportunities for attraction of PPP and ESCo schemes in other communities of Armenia will be identified. The assistance will be provided to other communities in proper planning and upgrade programs of lighting systems under state subventions programme.

These activities will contribute to UNDP's goal of increasing access to sustainable energy services and increase implementation of sustainable energy plans in municipalities through promoting technology transfer.

II. STRATEGY

Lighting is the one of key sources of municipal greenhouse gas (GHG) emissions, accounting up to 50 percent of their electricity bill. Urban lighting costs of Armenian municipalities account for more than US $5 million per annum (power costs and maintenance). Municipal lighting in the capital city of Yerevan accounts for the largest consumption, around 90 per cent of all urban lighting energy use nationwide, or about 56,000 MWh/year (2018). At the same time, there is considerable technical potential for cost-effective efficiency improvements in public lighting. Average specific power consumption for street lighting in Yerevan is 1.3-1.5 times higher than that of European cities and towns.

In the framework of the UNDP-GEF project, implemented during 2013-2018, excellent cooperation has been established with Yerevan municipality in implementing municipal indoor and outdoor lighting systems and energy efficient upgrade projects. In the framework of that agreement 5 streets and 2 indoor lighting systems demonstration upgrade projects were implemented, http://nature-ic.am/en/projects/Green-Urban-Lighting/3. UNDP and the Municipality also agreed that energy and maintenance related savings of the demonstration projects have to be accumulated in a special account. The account was opened in the Yerevan Illumination Company by the order of the Mayor in 2015.

The monitoring of the demonstration projects impact was undertaken jointly by UNDP experts and municipality specialists revealed at least 60% energy savings. The savings accumulated allowed

[1] "Strategic energy development program of the Republic of Armenia until 2040", Gov Decision 48L, 14.101.2021

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Yerevan municipality to cooperate with UNDP-GEF "Green Lighting Project" and increase the number of reconstructed lighting systems in the city.

In 2019-2020 Yerevan municipality cooperated with UNDP in the frames of "Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions" UNDP-00118602/00115356 project. The project ensures sustainability of the municipal revolving fund resources use, as well as elaboration of new investment opportunities for the city. UNDP provides technical assistance while Municipality is responsible for installation and - if needed - upgrade of the lighting systems' infrastructure (renovating / replacing / adding lighting poles, reconstructing pole brackets etc.) under the guidance of UNDP technical experts.

Within the project's duration, four major demo projects were implemented funded from the above mentioned municipal revolving fund. The UNDP technical assistance in close partnership with the "Yerevan Illumination" CJSC ensures energy audit of selected streets/districts and courtyards lighting systems, optometric expertise of the required lighting design according to the new lighting code, development of technical specifications for scope of supply and procurement of luminaires, UNDP also developed recommendations on reconstruction of poles and brackets, as well as installation of additional poles, instruction and supervision of luminaire installations, system maintenance, and continuous technical consultations and troubleshooting in case any problems with luminaries under guarantee. In total, 4,341 LED luminaries were installed in Yerevan city (368 – in Shirak, Arno Babajanyan and Isakov Streets (6 km); 3,299 – in Davitashen and Nubarashen districts, and Halabyan, Kievyan and other streets (65.7 km); 674 – in Gay, Koghbatsi, Rubinyats and other streets (11.9 km); and 186 – in 98 unregulated pedestrian crossings). As a result, the total installed capacity was reduced by about 1,054 kW, annual energy savings makes about 2,496 MWh and GHG reductions makes about 1007,8 CO2eq./year. Improvement in energy efficiency exceeded 70% for each of the said demo projects.

The project kicked off with $92,840 from the city's municipal revolving fund and was able to scale the project budget to over $0.76 million through commitment of Municipality to increase funding as well as due to elaboration and application of extended payment financing scheme with the lighting equipment supplier selected through competitive selection procedures.

The present PHASE II project, is intended to continue this line of action for the street lighting upgrade in Yerevan for streets identified as priority by Yerevan Municipality: Ajapnyak district, courtyards; Physics Institute campus; Badal Muradyan, Davit Bek, Rostovyan streets, Tbilisyan roadway and Haghtanak district, Arshakunyats avenue, Artashat and Ashtarak roadways – in sustained close cooperation with the Municipality as long-term reliable partner of UNDP Armenia.

The planned activities:

1. *Support the communities in developing qualified street lighting system design proposals*

In cooperation with specialists of "Yerevan Illumination Company" SCJC will be conducted the energy audit of lighting systems that are planned to be upgraded. Based on the findings, will be identified the scope of the works to be performed and the volume of procurement to be implemented. UNDP experts will elaborate the design documentation and perform optometric estimations to successfully complete the requested upgrades.

Support will be provided to the communities applying for the state subvention program and design and development of street lighting energy efficient refurbishment demonstration projects scope.

2. Support in procurement of appropriate energy efficient lighting fixtures.

In agreement with Yerevan Municipality, will be developed technical specifications and/or bill of quantities of energy efficient lighting equipment and the competitive procurement will be organized following UNDP Rules and Regulations.

3. Demonstration project's impact monitoring.

The guaranteed savings from the upgrade will be ensured through supervision of proper installation and maintenance of the energy efficient lighting equipment, and monthly monitoring reports on

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energy and maintenance savings. The findings of the report must be used for each successive demonstration project initiated by Yerevan Municipality.

Theory of Change

This project is the scaling up intervention based on the successful experience of the previous demonstrations and it stems from "Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions" UNDP project (Phase I). The Theory of Change approach of the Project is towards promotion of understanding of benefits of the energy efficiency through demonstration of the results of the concrete actions on reconstruction of the street lighting systems. The joint monitoring of the GHG emissions reduction and savings in energy consumption conducted by the project experts and municipality specialists will contribute to the capacity building of municipalities. The benefits of the energy efficiency measure properly valuated can contribute to the justification of PPP and ESCo schemes application for other utility services upgrade.

Gender mainstreaming

The project does not have components or activities that focus on increasing gender equality and the empowerment of women.

Nevertheless, the project has contributions to the said objectives, mainly via improving road illumination and thus street safety, and indoor lighting systems and thus room comfort. While the former enables longer hour safer outdoor activities, the latter improves quality of indoor time.

Overall, the project adds to UNDP Gender Equality Strategy, Output 2, point a: "Supporting Governments to ensure that regional, national and local development policies, plans and budgets incorporate gender-responsive solutions for climate change adaptation and mitigation".

III. RESULTS AND PARTNERSHIPS

Expected Results

The upgrade of the Yerevan community street lighting systems for selected district and 3 streets will ensure following environmental, economic and social benefits:

- reduction of greenhouse gas emissions from the lighting system by at least 50% compared to baseline, line with the green development objectives, and commitments of the Yerevan city under Sustainable Energy Acton Plan;
- reduction of energy costs, which in the situation of increasing tariffs for electricity will ensure significant more than 50% savings compared to baseline. Will be ensured continuity of capitalization and targeted use of Municipal energy efficiency revolving fund operation of Yerevan city is ensured.
- upgrade of street illumination according to the contemporary construction norms will ensure safety for traffic and pedestrians. The well illuminated streets will increase safety, which is particularly important for women and children safety.

Resources Required to Achieve the Expected Results

The resources of Municipal Revolving Fund and city budget of Yerevan community 501,452.08 USD are available for this project's implementation in accordance with the abovementioned underpinning Financing Agreement. Yerevan Municipality seeks to use the savings to implement more demonstration projects and upgrade the urban lighting system of designated streets/buildings. As such, the funds will be used in the framework of the UNDP project to provide expertise on lighting design and support implementation of planned activities. UNDP will provide technical assistance as well as monitoring and evaluation of the project impact.

Partnerships

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Yerevan Municipality is a long-term trusted partner of UNDP having implemented numerous projects in various sectors, most recently, in the framework of "Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions" UNDP-00118602/00115356 project that builds upon the legacy of "Green Urban Lighting" UNDP-GEF project in the period.

Cooperation will be maintained with Yerevan Municipal Illumination CJSC to support on-site activities.

In the project framework the companies and institutions will be identified and supported willing to and capable of implementing the PPP or ESCo schemes with communities in Armenia aimed at scaling-up the energy performance upgrade projects.

Risks and Assumptions

- *Delays in official approval processes, including reaching consent on joint actions with the Municipality and possible procurement setbacks:* Ensure ultimate clarity in the documentation and procurement procedures.
- *Number and price fluctuations of necessary luminaries for ensuring envisaged streets lighting system upgrade:* Ensure consistent iterations of clear and direct communication on the Municipality's expectations and cooperation terms.
- *Delays with project implementation due to COVID situation risks:* Communication with Municipality on precautionary measures of installers work, delivery conditions of procurement of goods to be well elaborated in the tender documents.
- *Escalation of Nagorno-Karabakh conflict:* Possible revision of certain programme aspects to meet emerging socio-economic priorities and needs, assistance to Yerevan Municipality for crisis related requests.

Stakeholder Engagement

The project key beneficiary is Yerevan Municipal Illumination CJSC, among major beneficiaries are other cities as well as residents of the cities, as well as visitors (tourists) who benefit from having safer roads, longer hours of illuminated streets and more comfortably illuminated indoor spaces.

In addition, the design of the lighting systems' upgrade is performed in cooperation with the city's respective specialists and officials, and the latter will be updated on the most recent developments in the sector accordingly.

Particularly in case of Yerevan city, the technical support staff of Yerevan Illumination CJSC will undergo a brief training on proper installation and maintenance of the modern energy efficient lighting equipment. Similar model can be applicable to other municipalities.

Also, organizing procurement in line with UNDP Rules and Regulations imposes certain technical and procedural requirements on the quality of the bids and supports the improvement of the market practices.

South-South and Triangular Cooperation

The gained experience of the project in Yerevan can be captured in the Lessons Learned report and exchanged among developing countries, particularly with partner countries. The particular interest for countries can be the applied scheme of the revolving municipal fund, and in piloting PPP or ESCo scheme, as well as thorough monitoring of the mitigation actions with involvement of the municipal specialists.

Knowledge

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The project Lessons Learned report summarizing the results of project implementation will be developed to present the main achievements and demo project replication potential. GHG emissions reduction monitoring issues, experience with cooperation with municipality on application of the PPP and ESCo scheme will be emphasized in the report.

Sustainability and Scaling Up

Yerevan Municipality is the key actor for sustainability of the results and scaling up of the practices applied within the demo projects. The Municipality is the main addressee of the monitoring reports and progress briefs of the project and major driver of replication initiatives in lighting sector and beyond. The Municipality has expressed the commitment to introduce and expand modern energy efficiency practices in urban economy in its programmatic documents2.

IV. PROJECT MANAGEMENT

Cost Efficiency and Effectiveness

To achieve cost efficiency and effectiveness, the project's action is twofold: on the one hand, relying UNDP procurement Rules and Regulations to ensure highest possible quality of the lighting equipment to be purchased; on the other hand, upholding direct and clear communication with municipalities to ensure targeted joint actions and sufficient information on the upgrades' advantages to enable motivated replication.

Project Management

The Project will be implemented by UNDP in direct implementation modality (DIM). DIM modality will include controlling the expenditure and ensuring adequate financial management of resources of the project, undertaking all necessary financial arrangements, processes, request for authorizations and payments with a view to ensure financial accountability. The UNDP country office will procure goods and services and recruit project personnel in accordance with the UNDP regulations, rules, policies and procedures.

The logos of the UNDP and donor should appear on all communication and other public materials.

[2] Most notably, in "Sustainable Energy Development Action Plan of Yerevan", developed in the framework of "Green Urban Lighting" UNDP-GEF project and adopted in June 2016, and in "Green City Action Plan of Yerevan" adopted in September 2017.

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V. RESULTS FRAMEWORK

SDG target 7.a: By 2030, enhance international cooperation to facilitate access to clean energy research and technology, including renewable energy, energy efficiency and advanced and cleaner fossil-fuel technology, and promote investment in energy infrastructure and clean energy technology.										
UNDP Strategic Plan Output 2.5.1. Solutions developed, financed and applied at scale for energy efficiency and transformation to clean energy and zero-carbon development for poverty eradication and structural transformation										
UNDAF Outcome 7/CPD Outcome 4 (13): By 2020, sustainable development principles and good practices for environmental sustainability resilience building, climate change adaptation and mitigation, and green economy are introduced and applied.										
4.4. Low carbon and 'green economy' issues become priority for the Government, supported by relevant regulatory framework										
Project title and Atlas Project Number: Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions, PHASE II, 00133238 / 00125350										
EXPECTED OUTPUTS	**OUTPUT INDICATORS[3]**	**DATA SOURCE**	**BASELINE**		**TARGETS (by frequency of data collection)**						**DATA COLLECTION METHODS & RISKS**
			Value	**Year**	**2021**	**2022**	**2023**	**2024**	**2025**	Final	
Output 1 *Promote energy efficient lighting systems in communities*	***1.1** Number of energy efficient demonstration projects implemented*	*Project annual reports*	*0*	*Q1 2021*	*1*	*1*	*1*	*1*	*1*		*Verification/monitoring missions for performance based funding.* *Project progress reports.*
	***1.2** Energy consumption reduction, percentage*	*Project annual reports*	*100%*	*Q1 2021*	*>30 %*	*>50 %*	*>50 %*	*>50 %*	*>50 %*	*>50%*	*Verification/monitoring missions.* *Project reports.*

[3] It is recommended that projects use output indicators from the Strategic Plan IRRF, as relevant, in addition to project-specific results indicators. Indicators should be disaggregated by sex or for other targeted groups where relevant.

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VI. MONITORING AND EVALUATION

In accordance with UNDP's programming policies and procedures, the project will be monitored through the following monitoring and evaluation plans:

Monitoring Plan

Monitoring Activity	Purpose	Frequency	Expected Action	Partners (if joint)	Cost (if any)
Track results progress	Progress data against the results indicators in the RRF will be collected and analyzed to assess the progress of the project in achieving the agreed outputs.	Annually	If slower than expected, the progress will be addressed by project management.		
Monitor and Manage Risk	Identify specific risks that may threaten achievement of intended results. Identify and monitor risk management actions using a risk log. This includes monitoring measures and plans that may have been required as per UNDP's Social and Environmental Standards. Audits will be conducted in accordance with UNDP's audit policy to manage financial risk.	Annually	Risks are identified by project management and actions are taken to manage risk. The risk log is actively maintained to keep track of identified risks and actions taken.		
Learn	Knowledge, good practices and lessons will be captured regularly, as well as actively sourced from other projects and partners and integrated back into the project.	End of project	Relevant lessons are captured by the project team and used to inform management decisions.		
Annual Project Quality Assurance	The quality of the project will be assessed against UNDP's quality standards to identify project strengths and weaknesses and to inform management decision making to improve the project.	Annually	Areas of strength and weakness will be reviewed by project management and used to inform decisions to improve project performance.		
Review and Make Course Corrections	Internal review of data and evidence from all monitoring actions to inform decision making.	At least annually	Performance data, risks, lessons and quality will be discussed by the project board and used to make course corrections.		
Project Report	A progress report will be presented to the Project Board and key stakeholders, consisting of progress data showing the results achieved against pre-defined annual targets at the output level, the annual project quality rating summary, an updated risk long with mitigation measures, and any evaluation or review reports prepared over the period.	End of project	Quarterly and final progress report prepared and submitted to Project Board. The final progress report submitted to the Yerevan Municipality.		
Project Board	The Project Board will hold regular project reviews to assess the performance of the project and review the Multi-Year	Annually	Any quality concerns or slower than expected progress should		

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	Work Plan to ensure realistic budgeting over the life of the project. In the project's final year, the Project Board shall hold an end-of project review to capture lessons learned and discuss opportunities for scaling up and to socialize project results and lessons learned with relevant audiences.		be discussed by the project board and management actions agreed to address the issues identified.		

Evaluation Plan[4]

Evaluation Title	Partners (if joint)	Related Strategic Plan Output	UNDAF/CPD Outcome	Planned Completion Date	Key Evaluation Stakeholders	Cost and Source of Funding
Mid-Term Evaluation	Yerevan Municipality	**Strategic Plan Output 2.5.1.**	**UNDAF Outcome 7/CPD Outcome 4 (13)**	By October 2023	Planned energy efficiency and GHG reduction targets reached	UNDP

[4] Optional, if needed

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VII. MULTI-YEAR WORK PLAN

Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions, PHASE II, 00133238 / 00125350

Project ID:	**00133238**
Output ID:	**00125350**
Award Title:	**Climate Smart Solutions, PHASE II**
Project Title:	**Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions, PHASE II**
Executing Agency:	**UNDP**
Year:	**2021-2025**

EXPECTED CP OUTPUTS and indicators including annual targets	PLANNED ACTIVITIES (including M&E activities)	RESP. PARTY	Fund	Donor	Expend. Account	PLANNED BUDGET US$						
						Budget Description	2021	2022	2023	2024	2025	Total
Outcome: Promote energy efficient lighting systems in communities **Baseline:** Limited expertise in appropriate design of energy efficient street lighting systems in communities. **Target:** The energy consumption and GHG emissions reduction on selected pilot side has reduced at least by 50% **Indicators:** - Number of energy efficient demonstration projects implemented - Percentage of	**Activity 1:** **Supporting municipalities in promotion of urban green lighting to demonstrate greenhouse gas emissions reduction in line with municipal sustainable energy action plans** 1.1. Design and development of the scope of demonstration projects on street lighting energy efficient refurbishment 1.2. Support in procurement of appropriate energy efficient lighting fixtures 1.3. Demonstration project's monitoring	UNDP	30071	01059	72100	Contractual services-companies	273,000.00	69,000.00	69,000.00	34,500.00	27,300.00	**472,800.00**
		UNDP	30071	01059	74725	Transport, Shipping and handle	0.00	800.00	800.00	300.00	200.00	**2,100.00**
		UNDP	30071	01059	74500	Miscellaneous (DPC)	1,743.00	268.69	268.69	234.34	158.69	**2,673.41**
		UNDP	30071	01059	75100	Facilities & Administration	13,737.15	3,503.43	3,503.43	1,751.72	1,382.93	**23,878.67**
						Activity 1 GOV	**288,480.15**	**73,572.12**	**73,572.12**	**36,786.06**	**29,041.62**	**501,452.08**
		UNDP	04000	00012	71300	Local Consultants	6,400.00	0.00	0.00	0.00	0.00	**6,400.00**
		UNDP	04000	00012	71725	Transport, Shipping and handle	1,000.00	0.00	0.00	0.00	0.00	**1,000.00**
		UNDP	04000	00012	74500	Miscellaneous (DPC)	600.00	0.00	0.00	0.00	0.00	**600.00**

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EXPECTED CP OUTPUTS and indicators including annual targets	PLANNED ACTIVITIES (including M&E activities)	RESP. PARTY	Fund	Donor	Expend. Account	PLANNED BUDGET US$						
						Budget Description	2021	2022	2023	2024	2025	Total
energy consumption compared to the baseline **Gender Marker: GEN1**	report on GHG emissions reduction											
						Activity 1 UNDP	**8,000.00**	**0.00**	**0.00**	**0.00**	**0.00**	**8,000.00**
						TOTAL GOV	**288,480.15**	**73,572.12**	**73,572.12**	**36,786.06**	**29,041.62**	**501,452.08**
						TOTAL UNDP	**8,000.00**	**0.00**	**0.00**	**0.00**	**0.00**	**8,000.00**
						PROJECT TOTAL	**296,480.15**	**73,572.12**	**73,572.12**	**36,786.06**	**29,041.62**	**509,452.08**

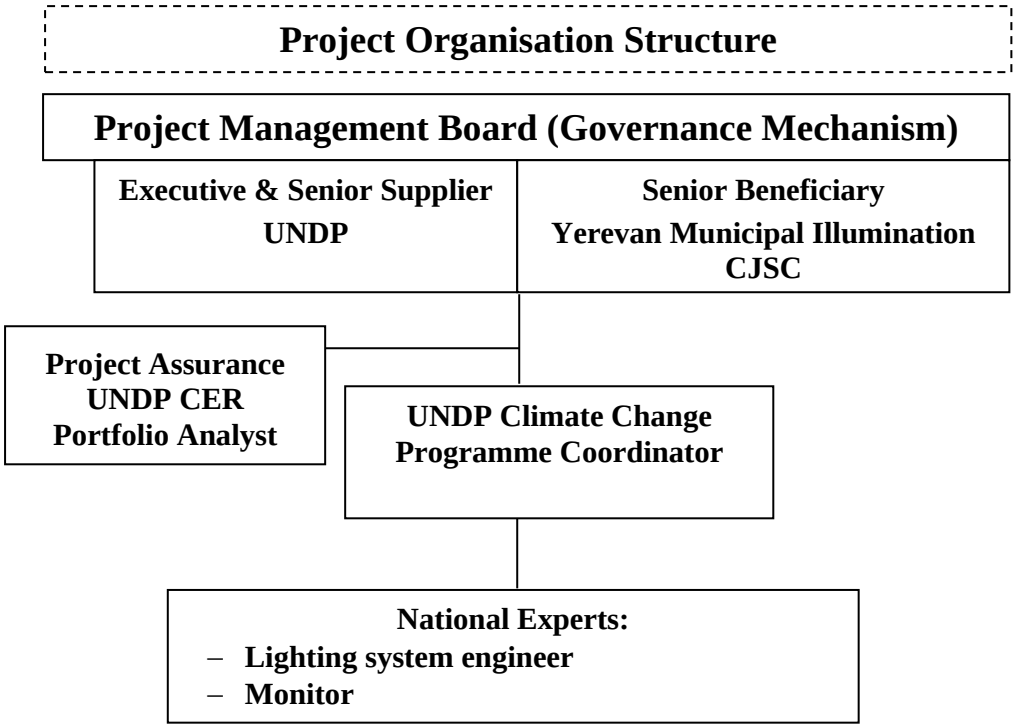
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VIII. GOVERNANCE AND MANAGEMENT ARRANGEMENTS

The **Project Board** will be the main governing body, consisting of UNDP (Project Executive and Senior Supplier, Chair of the Board), and project Senior Beneficiary (Yerevan Municipal Illumination CJSC). The Project Board will provide management decisions and will have the final authority on matters requiring official review and approval, including annual work plans, budgets, etc.

The **Climate, Environment, Resilience (CER)** Portfolio Analyst will provide quality assurance to the project and guidance to the Climate Change Programme Coordinator. The latter will lead in the identification and assessment of risks, and formulate measures aimed at strengthening the management of risks and engage and negotiate with the donor and international financial institution partners.

The Project will be implemented by UNDP in direct implementation modality (DIM). The knowledge and expertise in implementation of UNFCCC in the country accumulated in the UNDP Climate Change Programme and well-established relations with specialized national institutions and support structures will contribute to the smooth start and implementation of the project. The day-to-day management of the project will be carried out by the Climate Change Programme Coordinator who be accountable to the Project Board and the SGR Portfolio Manager for planning, implementation quality, timeliness and effectiveness of the project activities and the proper use of funds. The Programme Coordinator will manage the project short term consultants and contractors and will be supported by support staff in the overall project management, including administrative and finance assistance, logistic support, etc. The Programme Coordinator will be responsible for financial implementation and technical reporting including preparation of progress reports, monitoring and evaluation, and other tasks.



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IX. LEGAL CONTEXT

This project document shall be the instrument referred to as such in Article 1 of the Standard Basic Assistance Agreement between the Government of Armenia and UNDP, signed on 8 March 1995. All references in the SBAA to "Executing Agency" shall be deemed to refer to "Implementing Partner."

This project will be implemented in **Direct Implementation Modality (DIM)** by UNDP ("Implementing Partner") in accordance with its financial regulations, rules, practices and procedures.

X. RISK MANAGEMENT

UNDP (DIM)

1. UNDP as the Implementing Partner shall comply with the policies, procedures and practices of the United Nations Security Management System (UNSMS.)

2. UNDP as the Implementing Partner will undertake all reasonable efforts to ensure that none of the project funds are used to provide support to individuals or entities associated with terrorism and that the recipients of any amounts provided by UNDP hereunder do not appear on the list maintained by the Security Council Committee established pursuant to resolution 1267 (1999). The list can be accessed via hthttp://www.un.org/sc/committees/1267/aq_sanctions_list.shtml. This provision must be included in all sub-contracts or sub-agreements entered into under this Project Document.

3. Social and environmental sustainability will be enhanced through application of the UNDP Social and Environmental Standards (http://www.undp.org/ses) and related Accountability Mechanism (http://www.undp.org/secu-srm).

4. UNDP as the Implementing Partner will: (a) conduct project and programme-related activities in a manner consistent with the UNDP Social and Environmental Standards, (b) implement any management or mitigation plan prepared for the project or programme to comply with such standards, and (c) engage in a constructive and timely manner to address any concerns and complaints raised through the Accountability Mechanism. UNDP will seek to ensure that communities and other project stakeholders are informed of and have access to the Accountability Mechanism.

5. All signatories to the Project Document shall cooperate in good faith with any exercise to evaluate any programme or project-related commitments or compliance with the UNDP Social and Environmental Standards. This includes providing access to project sites, relevant personnel, information, and documentation.

6. UNDP as the Implementing Partner will ensure that the following obligations are binding on each responsible party, subcontractor and sub-recipient:

    a. Consistent with the Article III of the SBAA, the responsibility for the safety and security of each responsible party, subcontractor and sub-recipient and its personnel and property, and of UNDP's property in such responsible party's, subcontractor's and sub-recipient's custody, rests with such responsible party, subcontractor and sub-recipient. To this end, each responsible party, subcontractor and sub-recipient shall:

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i. put in place an appropriate security plan and maintain the security plan, taking into account the security situation in the country where the project is being carried;

ii. assume all risks and liabilities related to such responsible party's, subcontractor's and sub-recipient's security, and the full implementation of the security plan.

b. UNDP reserves the right to verify whether such a plan is in place, and to suggest modifications to the plan when necessary. Failure to maintain and implement an appropriate security plan as required hereunder shall be deemed a breach of the responsible party's, subcontractor's and sub-recipient's obligations under this Project Document.

c. In the performance of the activities under this Project, UNDP as the Implementing Partner shall ensure, with respect to the activities of any of its responsible parties, sub-recipients and other entities engaged under the Project, either as contractors or subcontractors, their personnel and any individuals performing services for them, that those entities have in place adequate and proper procedures, processes and policies to prevent and/or address SEA and SH.

d. Each responsible party, subcontractor and sub-recipient will take appropriate steps to prevent misuse of funds, fraud or corruption, by its officials, consultants, subcontractors and sub-recipients in implementing the project or programme or using the UNDP funds. It will ensure that its financial management, anti-corruption and anti-fraud policies are in place and enforced for all funding received from or through UNDP.

e. The requirements of the following documents, then in force at the time of signature of the Project Document, apply to each responsible party, subcontractor and sub-recipient: (a) UNDP Policy on Fraud and other Corrupt Practices and (b) UNDP Office of Audit and Investigations Investigation Guidelines. Each responsible party, subcontractor and sub-recipient agrees to the requirements of the above documents, which are an integral part of this Project Document and are available online at www.undp.org.

f. In the event that an investigation is required, UNDP will conduct investigations relating to any aspect of UNDP programmes and projects. Each responsible party, subcontractor and sub-recipient will provide its full cooperation, including making available personnel, relevant documentation, and granting access to its (and its consultants', subcontractors' and sub-recipients') premises, for such purposes at reasonable times and on reasonable conditions as may be required for the purpose of an investigation. Should there be a limitation in meeting this obligation, UNDP shall consult with it to find a solution.

g. Each responsible party, subcontractor and sub-recipient will promptly inform UNDP as the Implementing Partner in case of any incidence of inappropriate use of funds, or credible allegation of fraud or corruption with due confidentiality.

Where it becomes aware that a UNDP project or activity, in whole or in part, is the focus of investigation for alleged fraud/corruption, each responsible party, subcontractor and sub-recipient will inform the UNDP Resident Representative/Head of Office, who will promptly inform UNDP's Office of Audit and Investigations (OAI). It will provide regular updates to the head of UNDP in the country and OAI of the status of, and actions relating to, such investigation.

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h. UNDP will be entitled to a refund from the responsible party, subcontractor or sub-recipient of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document. Such amount may be deducted by UNDP from any payment due to the responsible party, subcontractor or sub-recipient under this or any other agreement.

   Where such funds have not been refunded to UNDP, the responsible party, subcontractor or sub-recipient agrees that donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities under this Project Document, may seek recourse to such responsible party, subcontractor or sub-recipient for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

   Note: The term "Project Document" as used in this clause shall be deemed to include any relevant subsidiary agreement further to the Project Document, including those with responsible parties, subcontractors and sub-recipients.

i. Should UNDP refer to the relevant national authorities for appropriate legal action any alleged wrongdoing relating to the project or programme, the Government will ensure that the relevant national authorities shall actively investigate the same and take appropriate legal action against all individuals found to have participated in the wrongdoing, recover and return any recovered funds to UNDP.

j. Each responsible party, subcontractor and sub-recipient shall ensure that all of its obligations set forth under this section entitled "Risk Management" are passed on to its subcontractors and sub-recipients and that all the clauses under this section entitled "Risk Management Standard Clauses" are adequately reflected, *mutatis mutandis*, in all its sub-contracts or sub-agreements entered into further to this Project Document.

Special Clause:

The project will be implemented based on Financial Agreement signed with Yerevan Municipality on 16 December 2020, which constitutes the integral part of the Project Document, Annex III

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XI. ANNEXES

ANNEX I. Social and Environmental Screening

Project Information

Project Information	
1. Project Title	Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions, PHASE II
2. Project Number	00133238 / 00125350
3. Location (Global/Region/Country)	RBEC/ECA/Armenia
4. Project stage (Design or Implementation)	Implementation
5. Project start date	08 March 2021
6. PAC meeting date	01 March 2021

Part A. Integrating Overarching Principles to Strengthen Social and Environmental Sustainability

QUESTION 1: How Does the Project Integrate the Overarching Principles in order to Strengthen Social and Environmental Sustainability?
Briefly describe in the space below how the Project mainstreams the human-rights based approach
The project contributes to human rights by increasing security in public places, such as roads and parks. The key input into higher quality of time spent in public places is through the consistent and continuous upgrade of Yerevan city's municipal lighting systems. This includes optometric estimations for each selected street or garden and consequent replacement of the existing low-efficiency lamps with modern light-emitting diode based energy efficient luminaires. The results include longer and safer outdoor hours for the city residents and guests, and introducing technical innovations into the public's everyday life.
Briefly describe in the space below how the Project is likely to improve gender equality and women's empowerment
The project adds to GES Output 2, point a: "Supporting Governments to ensure that regional, national and local development policies, plans and budgets incorporate gender-responsive solutions for climate change adaptation and mitigation". In accordance with its Gender Marker GEN1, the project contributes to improving illumination of streets to increase security on the roads and on the pedestrian part of the streets, which is particularly valued by women and girls.

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The trainings of professional personnel as performed or supported in the framework of the project do not execute discrimination by their very design. Nevertheless, the sector has been historically dominated by men – professionals in the sector – who climb the lighting poles and maintain electronic equipment.

Briefly describe in the space below how the Project mainstreams sustainability and resilience

The Project mainstreams environmental sustainability both directly and indirectly. The direct impact of energy efficient technology application is twofold: 1. the right-out decrease in energy consumption and, consequently, in GHG emissions in the municipal lighting sector of Yerevan city, and 2. environmental improvement through decrease in high-pressure sodium lamps disposal due to their shor-lifespan replacement with the 15 year lifespan light-emitting diode technology.

The indirect impact is also twofold: 1. via market transformation ensuing from the shifts in the demand structure towards the energy efficient technologies, and 2. via strengthening the sustainability of the innovative transparent municipal fund operation – the municipal revolving fund that accumulates the savings from energy consumption and lighting systems' maintenance and directs these freed resources towards expansion of energy efficient projects.

Briefly describe in the space below how the project strengthens accountability to stakeholders

The key stakeholder of the project – Yerevan Municipality – and the key beneficiary of the project – Yerevan Municipal Illumination CJSC – are in close and continuous contact with UNDP Armenia for procurement purposes and for the day-to-day implementation and monitoring activities. This ensures meaningful communication and constitutes the operationalization of the Stakeholder Response Mechanism through direct participation of the stakeholder and the beneficiary in the procurement process: from technical specification drafting to supplier selection. Moreover, the parties supply each other with all the relevant information and data, including estimated monthly savings in energy consumption and operation / maintenance costs provided periodically and timely to UNDP.

According to the usual procedure, the annual reports are discussed in the course of Project Board meetings and the city residents are informed of all the relevant developments and Project results through social and other media.

Part B. Identifying and Managing Social and Environmental Risks

QUESTION 2: What are the Potential Social and Environmental Risks? *Note: Complete SESP Attachment 1 before responding to Question 2.*	**QUESTION 3: What is the level of significance of the potential social and environmental risks?** *Note: Respond to Questions 4 and 5below before proceeding to Question 5*			**QUESTION 6: Describe the assessment and management measures for each risk rated Moderate, Substantial or High**
Risk Description (broken down by event, cause, impact)	***Impact and Likelihood (1-5)***	***Significance (Low, Moderate Substantial, High)***	***Comments (optional)***	***Description of assessment and management measures for risks rated as Moderate, Substantial or High***

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Risk 1: Slow approval process and delay in the joint actions results in continuity of high-pressure sodium lamps use, also to persisting lower energy performance of the municipal lighting systems and higher GHG emission volumes. (P.2)	I = 2 L = 2	**Low**		The project management ensures clarity, timeliness, consistency and meaningfulness of the communication, exchange of information and data with the Yerevan Municipality and Yerevan Municipal Illumination CJSC. UNDP supports their direct involvement into procurement process and overall decision-making process.

	QUESTION 4: What is the overall project risk categorization?		
	Low Risk	**x**	The project is a replication exercise based on long-term successful cooperation between UNDP and Yerevan Community, specifically, on the effective operation of the municipal revolving fund established in 2015 in the frames of UNDP-GEF project. It builds on the legacy of Phase I of the same project. The partners are by now well versed in their respective roles and functions, the bottlenecks and caveats are explored and impediments overcome.
	Moderate Risk	☐	
	Substantial Risk	☐	
	High Risk	☐	

	QUESTION 5: Based on the identified risks and risk categorization, what requirements of the SES are triggered? (check all that apply)				
	Question only required for Moderate, Substantial and High Risk projects				
	Is assessment required? (check if "yes")	☐			***Status? (completed, planned)***
	if yes, indicate overall type and status		☐	Targeted assessment(s)	
			☐	ESIA (Environmental and Social Impact Assessment)	
			☐	SESA (Strategic Environmental and Social Assessment)	
	Are management plans required? (check if "yes)	☐			
	If yes, indicate overall type		☐	Targeted management plans (e.g. Gender Action Plan, Emergency Response Plan, Waste Management Plan, others)	
			☐	ESMP (Environmental and Social Management Plan which may include range of targeted plans)	

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			☐	ESMF (Environmental and Social Management Framework)	
	Based on identified risks, which Principles/Project-level Standards triggered?		**Comments (not required)**		
	Overarching Principle: Leave No One Behind				
	Human Rights	☐			
	Gender Equality and Women's Empowerment	☐			
	Accountability	☐			
	1. Biodiversity Conservation and Sustainable Natural Resource Management	☐			
	2. Climate Change and Disaster Risks	☐			
	3. Community Health, Safety and Security	☐			
	4. Cultural Heritage	☐			
	5. Displacement and Resettlement	☐			
	6. Indigenous Peoples	☐			
	7. Labour and Working Conditions	☐			
	8. Pollution Prevention and Resource Efficiency	☐			

Final Sign Off

Signature	***Date***	***Description***
	01 March 2021	QA Assessor *Hovhannes Ghazaryan, UNDP CER Portfolio Analyst*
	01 March 2021	QA Approver *Mihaela Stojkoska, UNDP Resident Representative a.i.*
	01 March 2021	PAC Chair *Mihaela Stojkoska, UNDP Resident Representative a.i.*

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SESP Attachment 1. Social and Environmental Risk Screening Checklist

Checklist Potential Social and Environmental Risks		
INSTRUCTIONS: The risk screening checklist will assist in answering Questions 2-6 of the Screening Template. Answers to the checklist questions help to (1) identify potential risks, (2) determine the overall risk categorization of the project, and (3) determine required level of assessment and management measures. Refer to the SES toolkit for further guidance on addressing screening questions.		
Overarching Principle: Leave No One Behind **Human Rights**		**Answer (Yes/No)**
P.1	Have local communities or individuals raised human rights concerns regarding the project (e.g. during the stakeholder engagement process, grievance processes, public statements)?	*No*
P.2	Is there a risk that duty-bearers (e.g. government agencies) do not have the capacity to meet their obligations in the project?	**Yes**
P.3	Is there a risk that rights-holders (e.g. project-affected persons) do not have the capacity to claim their rights?	*No*
Would the project potentially involve or lead to:		
P.4	adverse impacts on enjoyment of the human rights (civil, political, economic, social or cultural) of the affected population and particularly of marginalized groups?	*No*
P.5	inequitable or discriminatory impacts on affected populations, particularly people living in poverty or marginalized or excluded individuals or groups, including persons with disabilities? [1]	*No*
P.6	restrictions in availability, quality of and/or access to resources or basic services, in particular to marginalized individuals or groups, including persons with disabilities?	*No*
P.7	exacerbation of conflicts among and/or the risk of violence to project-affected communities and individuals?	*No*
Gender Equality and Women's Empowerment		
P.8	Have women's groups/leaders raised gender equality concerns regarding the project, (e.g. during the stakeholder engagement process, grievance processes, public statements)?	*No*
Would the project potentially involve or lead to:		
P.9	adverse impacts on gender equality and/or the situation of women and girls?	*No*
P.10	reproducing discriminations against women based on gender, especially regarding participation in design and implementation or access to opportunities and benefits?	*No*
P.11	limitations on women's ability to use, develop and protect natural resources, taking into account different roles and positions of women and men in accessing environmental goods and services? *For example, activities that could lead to natural resources degradation or depletion in communities who depend on these resources for their livelihoods and well being*	*No*
P.12	exacerbation of risks of gender-based violence? *For example, through the influx of workers to a community, changes in community and household power dynamics, increased exposure to unsafe public places and/or transport, etc.*	*No*
Sustainability and Resilience: Screening questions regarding risks associated with sustainability and resilience are encompassed by the Standard-specific questions below		
Accountability		
Would the project potentially involve or lead to:		

[1] Prohibited grounds of discrimination include race, ethnicity, sex, age, language, disability, sexual orientation, gender identity, religion, political or other opinion, national or social or geographical origin, property, birth or other status including as an indigenous person or as a member of a minority. References to "women and men" or similar is understood to include women and men, boys and girls, and other groups discriminated against based on their gender identities, such as transgender and transsexual people.

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P.13	exclusion of any potentially affected stakeholders, in particular marginalized groups and excluded individuals (including persons with disabilities), from fully participating in decisions that may affect them?	*No*
P.14	grievances or objections from potentially affected stakeholders?	*No*
P.15	risks of retaliation or reprisals against stakeholders who express concerns or grievances, or who seek to participate in or to obtain information on the project?	*No*
Project-Level Standards		
Standard 1: Biodiversity Conservation and Sustainable Natural Resource Management		
Would the project potentially involve or lead to:		
1.1	adverse impacts to habitats (e.g. modified, natural, and critical habitats) and/or ecosystems and ecosystem services? *For example, through habitat loss, conversion or degradation, fragmentation, hydrological changes*	*No*
1.2	activities within or adjacent to critical habitats and/or environmentally sensitive areas, including (but not limited to) legally protected areas (e.g. nature reserve, national park), areas proposed for protection, or recognized as such by authoritative sources and/or indigenous peoples or local communities?	*No*
1.3	changes to the use of lands and resources that may have adverse impacts on habitats, ecosystems, and/or livelihoods? (Note: if restrictions and/or limitations of access to lands would apply, refer to Standard 5)	*No*
1.4	risks to endangered species (e.g. reduction, encroachment on habitat)?	*No*
1.5	exacerbation of illegal wildlife trade?	*No*
1.6	introduction of invasive alien species?	*No*
1.7	adverse impacts on soils?	*No*
1.8	harvesting of natural forests, plantation development, or reforestation?	*No*
1.9	significant agricultural production?	*No*
1.10	animal husbandry or harvesting of fish populations or other aquatic species?	*No*
1.11	significant extraction, diversion or containment of surface or ground water? *For example, construction of dams, reservoirs, river basin developments, groundwater extraction*	*No*
1.12	handling or utilization of genetically modified organisms/living modified organisms?[2]	*No*
1.13	utilization of genetic resources? (e.g. collection and/or harvesting, commercial development)[3]	*No*
1.14	adverse transboundary or global environmental concerns?	*No*
Standard 2: Climate Change and Disaster Risks		
Would the project potentially involve or lead to:		
2.1	areas subject to hazards such as earthquakes, floods, landslides, severe winds, storm surges, tsunami or volcanic eruptions?	*No*
2.2	outputs and outcomes sensitive or vulnerable to potential impacts of climate change or disasters? *For example, through increased precipitation, drought, temperature, salinity, extreme events, earthquakes*	*No*
2.3	increases in vulnerability to climate change impacts or disaster risks now or in the future (also known as maladaptive or negative coping practices)? *For example, changes to land use planning may encourage further development of floodplains, potentially increasing the population's vulnerability to climate change, specifically flooding*	*No*
2.4	increases of greenhouse gas emissions, black carbon emissions or other drivers of climate change?	*No*

[2] See the Convention on Biological Diversity and its Cartagena Protocol on Biosafety.

[3] See the Convention on Biological Diversity and its Nagoya Protocol on access and benefit sharing from use of genetic resources.

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Standard 3: Community Health, Safety and Security		
Would the project potentially involve or lead to:		
3.1	construction and/or infrastructure development (e.g. roads, buildings, dams)? (Note: the GEF does not finance projects that would involve the construction or rehabilitation of large or complex dams)	*No*
3.2	air pollution, noise, vibration, traffic, injuries, physical hazards, poor surface water quality due to runoff, erosion, sanitation?	*No*
3.3	harm or losses due to failure of structural elements of the project (e.g. collapse of buildings or infrastructure)?	*No*
3.4	risks of water-borne or other vector-borne diseases (e.g. temporary breeding habitats), communicable and noncommunicable diseases, nutritional disorders, mental health?	*No*
3.5	transport, storage, and use and/or disposal of hazardous or dangerous materials (e.g. explosives, fuel and other chemicals during construction and operation)?	*No*
3.6	adverse impacts on ecosystems and ecosystem services relevant to communities' health (e.g. food, surface water purification, natural buffers from flooding)?	*No*
3.7	influx of project workers to project areas?	*No*
3.8	engagement of security personnel to protect facilities and property or to support project activities?	*No*
Standard 4: Cultural Heritage		
Would the project potentially involve or lead to:		
4.1	activities adjacent to or within a Cultural Heritage site?	*No*
4.2	significant excavations, demolitions, movement of earth, flooding or other environmental changes?	*No*
4.3	adverse impacts to sites, structures, or objects with historical, cultural, artistic, traditional or religious values or intangible forms of culture (e.g. knowledge, innovations, practices)? (Note: projects intended to protect and conserve Cultural Heritage may also have inadvertent adverse impacts)	*No*
4.4	alterations to landscapes and natural features with cultural significance?	*No*
4.5	utilization of tangible and/or intangible forms (e.g. practices, traditional knowledge) of Cultural Heritage for commercial or other purposes?	*No*
Standard 5: Displacement and Resettlement		
Would the project potentially involve or lead to:		
5.1	temporary or permanent and full or partial physical displacement (including people without legally recognizable claims to land)?	*No*
5.2	economic displacement (e.g. loss of assets or access to resources due to land acquisition or access restrictions – even in the absence of physical relocation)?	*No*
5.3	risk of forced evictions?[4]	*No*
5.4	impacts on or changes to land tenure arrangements and/or community based property rights/customary rights to land, territories and/or resources?	*No*
Standard 6: Indigenous Peoples		
Would the project potentially involve or lead to:		
6.1	areas where indigenous peoples are present (including project area of influence)?	*No*

[4] Forced eviction is defined here as the permanent or temporary removal against their will of individuals, families or communities from the homes and/or land which they occupy, without the provision of, and access to, appropriate forms of legal or other protection. Forced evictions constitute gross violations of a range of internationally recognized human rights.

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6.2	activities located on lands and territories claimed by indigenous peoples?	*No*
6.3	impacts (positive or negative) to the human rights, lands, natural resources, territories, and traditional livelihoods of indigenous peoples (regardless of whether indigenous peoples possess the legal titles to such areas, whether the project is located within or outside of the lands and territories inhabited by the affected peoples, or whether the indigenous peoples are recognized as indigenous peoples by the country in question)? *If the answer to screening question 6.3 is "yes", then the potential risk impacts are considered significant and the project would be categorized as either Substantial Risk or High Risk*	*No*
6.4	the absence of culturally appropriate consultations carried out with the objective of achieving FPIC on matters that may affect the rights and interests, lands, resources, territories and traditional livelihoods of the indigenous peoples concerned?	*No*
6.5	the utilization and/or commercial development of natural resources on lands and territories claimed by indigenous peoples?	*No*
6.6	forced eviction or the whole or partial physical or economic displacement of indigenous peoples, including through access restrictions to lands, territories, and resources? *Consider, and where appropriate ensure, consistency with the answers under Standard 5 above*	*No*
6.7	adverse impacts on the development priorities of indigenous peoples as defined by them?	*No*
6.8	risks to the physical and cultural survival of indigenous peoples?	*No*
6.9	impacts on the Cultural Heritage of indigenous peoples, including through the commercialization or use of their traditional knowledge and practices? *Consider, and where appropriate ensure, consistency with the answers under Standard 4 above.*	*No*
Standard 7: Labour and Working Conditions		
Would the project potentially involve or lead to: (note: applies to project and contractor workers)		
7.1	working conditions that do not meet national labour laws and international commitments?	*No*
7.2	working conditions that may deny freedom of association and collective bargaining?	*No*
7.3	use of child labour?	*No*
7.4	use of forced labour?	*No*
7.5	discriminatory working conditions and/or lack of equal opportunity?	*No*
7.6	occupational health and safety risks due to physical, chemical, biological and psychosocial hazards (including violence and harassment) throughout the project life-cycle?	*No*
Standard 8: Pollution Prevention and Resource Efficiency		
Would the project potentially involve or lead to:		
8.1	the release of pollutants to the environment due to routine or non-routine circumstances with the potential for adverse local, regional, and/or transboundary impacts?	*No*
8.2	the generation of waste (both hazardous and non-hazardous)?	*No*
8.3	the manufacture, trade, release, and/or use of hazardous materials and/or chemicals?	*No*
8.4	the use of chemicals or materials subject to international bans or phase-outs? *For example, DDT, PCBs and other chemicals listed in international conventions such as the Montreal Protocol, Minamata Convention, Basel Convention, Rotterdam Convention, Stockholm Convention*	*No*
8.5	the application of pesticides that may have a negative effect on the environment or human health?	*No*
8.6	significant consumption of raw materials, energy, and/or water?	*No*

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ANNEX II. Risk Analysis

Project Title: Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions, PHASE II				**Project Number:** 00133238 / 00125350	**Date: 20.02.2021**
#	**Description**	**Risk Category**	**Impact & Likelihood = Risk Level**	**Risk Treatment / Management Measures**	**Risk Owner**
1	Delays in official approval processes, including reaching consent on joint actions with the Municipality and possible procure-ment setbacks	Operational	Slower processing can result in fewer demo projects and thus lower accumulated savings in the revolving fund. **P=2** **I= 3**	Ensure ultimate clarity in the documentation and estimations produced and expertise rendered to inform the decision-making process fully and explicitly.	UNDP CO
2	Number and price fluctuations of necessary luminaries for ensuring envisaged streets lighting system upgrade	Operational	Inconsistencies in energy performance upgrade can produce a lower cultural impact for further improvement in the sector. **P=2** **I= 3**	Ensure consistent iterations of clear and direct communication on the Municipality's expectations and cooperation terms.	UNDP CO
3	Delays with project implementation due to COVID situation risks	Safety and Security	Constraints on timely implementation of the planned activities. **P=2** **I= 3**	Communication with Municipality on precautionary measures of installers work, delivery conditions of procurement of goods to be well elaborated in the tender documents.	UNDP CO
	Escalation of Nagorno-Karabakh conflict	Safety and Security	Slowdown/contingency operations. Worsened socio-economic situation in Armenia. Possible revision of certain programme aspects to meet emerging socio-economic priorities and needs. **P=5, I= 4**	Assistance to Yerevan Municipality for crisis related requests	UNDP CO

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Annex III. Financing Agreement

FINANCING AGREEMENT BETWEEN THE UNITED NATIONS DEVELOPMENT PROGRAMME AND THE COMMUNITY OF YEREVAN

WHEREAS the United Nations Development Programme (hereinafter referred to as "UNDP") and the Community of Yerevan (hereinafter referred to as the "Community") have agreed to co-operate in the implementation of a new demonstration project in the Yerevan city in the framework of "Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions" UNDP/00118602-00115356 project (hereinafter referred to as the "the Project"), detailed in Annex 1, which constitutes an integral part of this Agreement;

WHEREAS the Community has informed UNDP of its willingness to contribute funds (hereinafter referred to as "the Contribution") to UNDP on a cost-sharing basis to increase the resources available for the Project, in accordance with the Statement of Intent signed on 15 July 2019;

WHEREAS the UNDP shall designate an Implementing Partner for the implementation of each Project financed from the Contribution (hereinafter referred to as "the Implementing Partner")

NOW THEREFORE, UNDP and the Yerevan Community hereby agree as follows:

Article I

1. The Yerevan Community shall, in the manner referred to in paragraph 2 of this Article, place at the disposal of UNDP the Contribution of 259,000,000 AMD (two hundred and fifty-nine million Armenian Drams), in accordance with the assessed implementation value of the project presented in Annex 1.

2. The Yerevan Community shall, in accordance with the schedule of payments set out below, deposit the Contribution in the following UNDP Armenia account:

Bank Name: HSBC Bank Armenia
Bank Address: 9 Vazgen Sargsyan Street, Yerevan 0010
Account Name: UNDP Armenia
Account #: 21700-001-186857-050 (AMD)
SWIFT: MIDLAM22

ՖԻՆԱՆՍԱՎՈՐՄԱՆ ՀԱՄԱՁԱՅՆԱԳԻՐ ՄԻԱՎՈՐՎԱԾ ԱԶԳԵՐԻ ԶԱՐԳԱՑՄԱՆ ԾՐԱԳՐԻ ԵՎ ԵՐԵՎԱՆ ՀԱՄԱՅՆՔԻ ՄԻՋԵՎ

ԸՍՏ ՈՐԻ Միավորված ազգերի զարգացման ծրագիրը (այսուհետև՝ «ՄԱԶԾ») և Երևան համայնքը համաձայնության են եկել համագործակցելու Երևան քաղաքում «Աջակցություն Հայաստանի համայնքներին կլիմայական «խելացի» լուծումների ներդրման և իրականացման հարցում» ՄԱԶԾ/00118602-00115356 ծրագրի (այսուհետև՝ «Ծրագիր») շրջանակում նոր ցուցադրական նախագիծ իրականացնելու հարցում, որը մանրամասն ներկայացված է սույն Համաձայնագրի անբաժանելի մասը կազմող՝ Հավելված 1-ում,

ՔԱՆԻ ՈՐ Երևան համայնքը հայտնել է ՄԱԶԾ-ին ծախսերի բաշխման միջոցով Ծրագրին հասանելի ռեսուրսների ավելացման նպատակով ֆոնդեր հատկացնելու (այսուհետև՝ «Հատկացումը») իր պատրաստակամության մասին, համաձայն 15.07.19թ. կնքված մտադրությունների մասին հուշագրի,

ՔԱՆԻ ՈՐ ՄԱԶԾ նշանակում է իրականացնող գործընկեր Հատկացման հաշվին իրականացվող յուրաքանչյուր նախագծի համար (այսուհետև՝ «Իրականացնող գործընկեր»),

ԸՍՏ ԱՅԴՄ, ՄԱԶԾ-ը և Երևան համայնքը համաձայնության են գալիս հետևյալի շուրջ.

Հոդված I

1. Երևան համայնքը, սույն հոդվածի կետ 2-ով սահմանված կերպով, ՄԱԶԾ-ի տնօրինությանն է հանձնում Հավելված 1-ում ներկայացված նախագծի իրականացման գնահատված արժեքին համապատասխան՝ 259,000,000 (երկու հարյուր հիսուն ինը միլիոն) ՀՀ դրամի հատկացում:

2. Երևան համայնքը պետք է, համաձայն ստորև բերված վճարման ժամանակացույցի, իրականացնի Հատկացումը ՄԱԶԾ հայաստանյան գրասենյակի հետևյալ հաշվեհամարին.

Բանկի անվանում. էյչ-էս-Բի-Սի Բանկ Հայաստան
Բանկի հասցե. Երևան, 0010, Վազգեն Սարգսյան 9
Հաշվի անվանում. ՄԱԶԾ Հայաստան
Հաշվեհամար, ՀՀ դրամ. 21700-001-186857-050
SWIFT: MIDLAM22

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Date payment due	Amount (in AMD)
(1) by 15 January 2021	130,000,000
(2) by 01 August 2021	19,000,000
(3) by 01 December 2021	19,000,000
(4) by 01 August 2022	19,000,000
(5) by 01 December 2022	19,000,000
(6) by 01 August 2023	19,000,000
(7) by 01 December 2023	19,000,000
(8) by 01 November 2024	15,000,000

3. The Yerevan Community will inform UNDP when the Contribution is paid via an e-mail with remittance information to contributions@undp.org and davit.asatryan@undp.org providing the following information: Yerevan Community to UNDP country office, "Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions" UNDP/00118602-00115356 project. This information should also be included in the bank remittance advice when funds are remitted to UNDP.

4. The value of the payment, if made in a currency other than United States dollars, shall be determined by applying the United Nations operational rate of exchange in effect on the date of payment. Should there be a change in the United Nations operational rate of exchange prior to the full utilization by the UNDP of the payment, the value of the balance of funds still held at that time will be adjusted accordingly. If, in such a case, a loss in the value of the balance of funds is recorded, UNDP shall inform the Municipality with a view to determining on further financing to be provided by the Municipality. Should such further financing not be available, the assistance to be provided to the Project may be reduced, suspended or terminated by UNDP.

5. The above schedule of payments takes into account the requirement that Contributions shall be paid in advance of the implementation of planned activities. It may be amended to be consistent with the progress of project delivery. UNDP shall not absorb any loss (including but not limited to exchange fluctuations) under the Project. The Parties acknowledge and agree that all losses shall be charged to the Project.

6. All financial accounts and statements shall be expressed in United States dollars.

Վճարման ժամանակացույց	Գումար (ՀՀ դրամ)
(1) մինչև 15.01.2021թ.	130,000,000
(2) մինչև 01.08.2021թ.	19,000,000
(3) մինչև 01.12.2021թ.	19,000,000
(4) մինչև 01.08.2022թ.	19,000,000
(5) մինչև 01.12.2022թ.	19,000,000
(6) մինչև 01.08.2023թ.	19,000,000
(7) մինչև 01.12.2023թ.	19,000,000
(8) մինչև 01.11.2024թ.	15,000,000

3. Երևան համայնքը պետք է տեղեկացնի ՄԱԶԾ-ին Հատկացման փոխանցման մասին՝ contributions@undp.org և davit.asatryan@undp.org էլեկտրոնային հասցեներով և տրամադրելով հետևյալ տեղեկությունը. Երևան համայնքի անվանումը, ՄԱԶԾ հայաստանյան գրասենյակի անվանումը, «Աջակցություն Հայաստանի համայնքներին կլիմայական «խելացի» լուծումների ներդրման և իրականացման հարցում» ՄԱԶԾ/00118602-00115356 ծրագրի համարը:

4. ԱՄՆ դոլարից տարբեր, այլ արժույթով կատարված վճարման արժեքը որոշվում է ՄԱԿ-ի՝ վճարման ժամանակ գործող գործառնական փոխարժեքի կիրառմամբ: Եթե մինչև ՄԱԶԾ-ի կողմից հատկացման լիակատար օգտագործումը փոփոխվում է ՄԱԿ-ի սահմանած գործառնական փոխարժեքը, այդ դեպքում դեռևս առկա միջոցների հաշվեկշռի արժեքը համապատասխանաբար ճշգրտվում է: Եթե այդպիսի դեպքում արձանագրվում է գումարի մնացորդի արժեքի անկում, ՄԱԶԾ-ն տեղեկացնում է Երևան համայնքին՝ նրա կողմից լրացուցիչ ֆինանսավորում տրամադրելու մասին: Եթե այդպիսի ֆինանսավորում չի նախատեսվում, ՄԱԶԾ կարող է կրճատել, կասեցնել կամ դադարեցնել Ծրագրին տրամադրող աջակցությունը:

5. Վերոնշյալ ժամանակացույցը հաշվի է առնում այն պահանջը, որ Հատկացումը պետք է նախորդի պլանավորված ծրագրային գործողությունների իրականացմանը: Այն կարող է վերանայվել համաձայն ծրագրի կատարողականի առաջընթացի: ՄԱԶԾ չի կրում Ծրագրի շրջանակում ձևավորված որևէ ֆինանսական վնաս (ներառելով և չսահմանափակվելով փոխարժեքի տատանումներով): Կողմերն ընդունում են, որ ֆինանսական բոլոր վնասները հայցվում են Ծրագրից:

6. Բոլոր ֆինանսական հաշիվները և հաշվետվությունները պետք է արտահայտվեն ԱՄՆ դոլարով:

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7. UNDP may agree to accept Contributions in a currency other than United States dollars provided such currency is fully convertible or readily usable by UNDP and subject to the provisions of paragraph 6 above. Any change in the currency of the Contribution shall be made only in agreement with UNDP.

Article II

1. In accordance with the decisions and directives of UNDP's Executive Board reflected in its Policy on Cost Recovery from Other Resources, the Contribution shall be subject to cost recovery for *indirect costs incurred by UNDP headquarters and country* office structures in providing General Management Support (GMS) services. To cover these GMS costs, the Contribution shall be charged a fee equal to 5%. Furthermore, as long as they are unequivocally linked to the specific project(s), all direct costs of implementation, including the costs of implementing partner, will be identified in the project budget against a relevant budget line and borne by the project accordingly.

2. The aggregate of the amounts budgeted for the project, together with the estimated costs of reimbursement of related support services, shall not exceed the total resources available to the project under this Agreement as well as funds which may be available to the project for project costs and for support costs under other sources of financing.

Article III

1. The Contribution shall be administered by the UNDP in accordance with UNDP regulations, rules, policies and procedures, applying its normal procedures for the execution of its projects.

2. Project management and expenditures shall be governed by the regulations, rules, policies and procedures of UNDP and, where applicable, the regulations, rules, policies and procedures of the Implementing Partner.

Article IV

1 The implementation of the responsibilities of the UNDP and of the Implementing Partner

7. ՄԱԶԾ կարող է համաձայնվել ընդունել Հատկացումներ ոչ ԱՄՆ դոլարով, պայմանով, որ տարադրամը լիարժեք փոխանակելի է կամ կարող է անմիջապես օգտագործվել ՄԱԶԾ-ի կողմից և ենթարկվում է վերոգրյալ 6-րդ կետին: Հատկացման տարադրամի ցանկացած փոփոխությունը պետք է համաձայնեցվի ՄԱԶԾ-ի հետ:

Հոդված II

1. Ըստ ՄԱԶԾ Գործադիր խորհրդի որոշումների և հրահանգների, որոնք արտացոլված են իր «Այլ աղբյուրներից ծախսերի փոխհատուցման քաղաքականության» մեջ, Հատկացումից կատարվում է ծախսերի փոխհատուցում՝ այն անուղղակի ծախսերի դիմաց, որոնք կատարվել են ՄԱԶԾ կենտրոնական և հայաստանյան գրասենյակների կառույցների կողմից Կառավարման ընդհանուր աջակցության (ԿԸԱ) ծառայություններ մատուցելիս: Այդ ԿԸԱ ծախսերը ծածկելու նպատակով Հատկացումից գանձվում է վճար՝ 5 տոկոսի չափով: Ավելին, քանի դեռ դրանք միանշանակ կապված են կոնկրետ նախագծերի հետ, իրականացման բոլոր ուղղակի ծախսերը, ներառյալ իրականացնող գործընկերոջ ծախսերը, ներառվում են Ծրագրի բյուջեում՝ բյուջեի համապատասխան հոդվածում և այսուհետև ծածկվում են Ծրագրից:

2. Ծրագրի բյուջեում նախատեսված գումարների հանրագումարը, շաղկապված օժանդակ ծառայությունների հատուցման համար հաշվարկված ծախսերի հետ միասին, չպետք է գերազանցի սույն Համաձայնագրով ծրագրին հատկացված ընդհանուր միջոցները, ինչպես նաև ծրագրի ծախսերը և օժանդակ ծառայությունների ծախսերը հոգալու նպատակով ֆինանսավորման այլ աղբյուրներից ծրագրի ստացած միջոցները:

Հոդված III

1. Հատկացումը կառավարվում է ՄԱԶԾ-ի կողմից՝ համաձայն ՄԱԶԾ կանոնակարգերի, կանոնների և հրահանգների՝ կիրառելով ծրագրերի իրականացման համար նախատեսված ընդունված ընթացակարգերը:

2. Ծրագրի ծախսերը և կառավարումը առաջնորդվում են ՄԱԶԾ կանոնակարգերով, կանոններով և հրահանգներով և անհրաժեշտության դեպքում, իրականացնող գործընկերոջ կանոնակարգերով, կանոններով և հրահանգներով:

Հոդված IV

1. ՄԱԶԾ-ի և իրականացնող գործընկերոջ պարտականությունների կատարումը սույն համաձայնագրի և

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pursuant to this Agreement and the relevant project document shall be dependent on receipt by the UNDP of the Contribution in accordance with the schedule of payments set out in Article I, paragraph 2, above. UNDP shall not start implementation of the activities prior to receiving the Contribution or the first tranche of the Contribution (whichever is applicable).

համապատասխան ծրագրային փաստաթղթի համաձայն, կախված է վերոգրյալ հոդված 1-ի 2-րդ պարբերությամբ նշված ժամանակացույցով հատկացման ստացումից: ՄԱԶԾ չի սկսում գործողությունների իրականացումը նախքան Հատկացման կամ Հատկացման առաջին տրանշի ստացումը (եթե կիրառելի է):

2 If unforeseen increases in expenditures or commitments are expected or realized (whether due to inflationary factors, fluctuation in exchange rates or unforeseen contingencies) UNDP shall submit to the Yerevan Community on a timely basis a supplementary estimate showing the further financing that will be necessary. The Yerevan Community shall use its best endeavors to make available to UNDP the additional funds required.

2. Եթե տեղի է ունեցել կամ ակնկալվում է ծախսերի կամ հանձնառությունների չնախատեսված ավելացում (անկախ արժեզրկման գործոններից, փոխարժեքի տատանումներից կամ չնախատեսված հանգամանքներից), ՄԱԶԾ-ն ժամանակին Երևանի քաղաքապետարան է ներկայացնում լրացուցիչ հաշվարկ, որն արտացոլում է անհրաժեշտ հավելյալ ֆինանսավորումը: Երևան համայնքը և ՄԱԶԾ-ն պետք է առավելագույն ջանքերը գործադրեն պահանջվող լրացուցիչ միջոցները հայթայթելու համար:

3 If the Contribution referred to in Article I, paragraph 2, above, are not received in accordance with the payment schedule, or if the additional financing required in accordance with paragraph 2, above, is not forthcoming from the Yerevan Community or other sources, the assistance to be provided to the Project under this Agreement may be reduced, suspended or terminated by UNDP.

3. Եթե Հոդված 1-ի պարբերություն 2-ում նշված հատկացման վճարումները չեն կատարվում համաձայն վճարման ժամանակացույցի, կամ եթե անհրաժեշտ լրացուցիչ ֆինանսավորումը, հայցած համաձայն վերոբերյալ պարբերություն 2-ի, չի ստացվում Երևան համայնքից կամ այլ աղբյուրներից, ՄԱԶԾ-ից կամ այլ աղբյուրներից, ըստ Համաձայնագրի Ծրագրին տրամադրվելիք աջակցությունը կարող է կրճատվել, կասեցվել կամ դադարեցվել ՄԱԶԾ-ի կողմից:

Article V

Ownership of equipment, supplies and other property financed from the Contribution shall vest in UNDP. Matters relating to the transfer of ownership by UNDP shall be determined in accordance with the relevant policies and procedures of UNDP.

Հոդված V

Հատկացման գումարով ձեռքբերված սարքավորումների, նյութատեխնիկական միջոցների և այլ գույքի հանդեպ սեփականության իրավունքը պատկանում է ՄԱԶԾ-ին: ՄԱԶԾ-ի կողմից սեփականության իրավունքի փոխանցմանը վերաբերող հարցերը վճռվում են ըստ ՄԱԶԾ-ի համապատասխան քաղաքականությունների և ընթացակարգերի:

Article VI

The Contribution shall be subject exclusively to the internal and external auditing procedures provided for in the financial regulations, rules, policies and procedures of UNDP.

Հոդված VI

Հատկացումը ենթակա է բացառապես ՄԱԶԾ ֆինանսական կանոնակարգերով, կանոններով և հրահանգներով նախատեսված ներքին և արտաքին աուդիտի ընթացակարգերին:

Article VII

UNDP shall provide the Yerevan Community on request with financial and other reports prepared in accordance with UNDP reporting procedures.

Հոդված VII

ՄԱԶԾ-ն, Երևան համայնքի պահանջով, տրամադրում է ֆինանսական և այլ հաշվետվություններ՝ պատրաստված ըստ ՄԱԶԾ ընթացակարգերի:

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Article VIII

1 UNDP shall notify the Yerevan Community when all activities relating to the Project have been completed in accordance with the ProDoc.

2 Notwithstanding the completion of all activities relating to the Project, UNDP shall continue to hold unutilized funds from the Contribution until all commitments and liabilities incurred in implementation of the activities as per the Annexes to this Agreement financed by the Contribution have been satisfied and these activities brought to an orderly conclusion.

3 If the unutilized funds prove insufficient to meet such commitments and liabilities, UNDP shall notify the Municipality and consult with the Yerevan Community on the manner in which such commitments and liabilities may be satisfied.

4 In cases where the Project is completed in accordance with the project document any funds below 5,000 USD (five thousand US Dollars) that remain unexpended after all commitments and liabilities have been satisfied shall be automatically reallocated by UNDP. Any funds above 5,000 USD (five thousand US Dollars) that remain unexpended after all commitments and liabilities have been satisfied shall be reallocated by UNDP after consultation with the Yerevan Community.

Article IX

The Parties agree that it is important to take all necessary precautions to avoid corrupt practices. To this end, UNDP shall maintain standards of conduct to govern the performance of its staff, including of corrupt practices in connection with the award and administration of contracts, grants, or other benefits, as set forth in the Staff Regulations and Rules of the United Nations, the UNDP Financial Regulations and Rules, and the UNDP Procurement Manual.

Article X

Consistent with numerous United Security Council resolutions, including S/RES/1269 (1999), S/RES 1368 (2001), and S/RES/1373 (2001), both the Donor and UNDP are firmly committed to the international fight

Հոդված VIII

1. ՄԱԶԾ-ն ծանուցում է Երևան համայնքին Ծրագրին առնչվող աշխատանքների ավարտի վերաբերյալ:

2. Չնայած հատկացմանն առնչվող բոլոր աշխատանքների ավարտին, հատկացման չօգտագործված վճարումները մնում են ՄԱԶԾ-ի տրամադրության տակ՝ մինչև հատկացման միջոցով Համաձայնագրի հավելվածներում նշված աշխատանքներն իրականացնելիս առաջացած բոլոր հանձնառությունների և պարտավորությունների բավարարումը, և այդ աշխատանքների պատշաճ եզրափակումը:

3. Եթե հատկացման չօգտագործված վճարումները չեն բավականացնում վերոնշյալ հանձնառությունների և պարտավորությունների կատարման համար, ՄԱԶԾ-ն այդ մասին տեղեկացնում է Երևան համայնքին և խորհրդակցում նման հանձնառությունների և պարտավորությունների բավարարման եղանակի վերաբերյալ:

4. Այն դեպքերում երբ Ծրագիրը ավարտվում է ինչպես պլանավորված է Ծրագրային փաստաթղթով և բոլոր պարտավորությունները կատարված են, սակայն մնում են մինչև 5,000 (հինգ հազար) ԱՄՆ դոլարին համարժեք չսպառված միջոցներ, ապա դրանց օգտագործման փոփոխությունը ինքնաբերաբար որոշում է ՄԱԶԾ: Եթե բոլոր նախատեսված պարտավորությունների կատարումից հետո չսպառված միջոցները կազմում են 5,000 (հինգ հազար) ԱՄՆ դոլարից ավելի, ապա դրանց հետագա օգտագործումը որոշվում է ՄԱԶԾ կողմից Երևան համայնքի հետ խորհրդակցությունների հիման վրա:

Հոդված IX

Կողմերը համաձայնվում են, որ կարևոր է ձեռնարկել նախազգուշության բոլոր անհրաժեշտ միջոցները կոռուպցիոն գործելակերպից խուսափելու համար: Այդ նպատակով ՄԱԶԾ պետք է պահպանի վարքի ստանդարտներ, որոնցով ղեկավարվում է իր աշխատակազմը, ներառյալ կոռուպցիոն գործելակերպ կապված պայմանագրերի, դրամաշնորհների և այլ օգուտների շնորհման և կառավարման հետ, ինչպես ամրագրված է ՄԱԿ-ի աշխատակազմի ընթացակարգերում և կանոններում, ՄԱԶԾ-ի ֆինանսական ընթացակարգերում և կանոններում և ՄԱԶԾ գնումների ձեռնարկում:

Հոդված X

Հետևողական լինելով ՄԱԿ-ի անվտանգության խորհրդի բազմաթիվ բանաձևերին, ներառյալ S/RES/1269 (1999), S/RES/1368 (2001) և S/RES/1373 (2001), դոնորը և ՄԱԶԾ հաստատակամ են ահաբեկչության դեմ

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against terrorism, and in particular, against the financing of terrorism. It is the policy of UNDP to seek to ensure that none of its funds are used, directly or indirectly, to provide support to individuals or entities associated with terrorism. In accordance with this policy, UNDP undertakes to use reasonable efforts to ensure that none of the Donor funds provided under this Agreement are used to provide support to individuals or entities associated with terrorism.

միջազգային պայքարում, մասնավորապես, ահաբեկչությունը ֆինանսավորելու դեմ: ՄԱԶԾ քաղաքականությունն է համոզվել, որ միջոցներից և ոչ մեկ մաս չի օգտագործվում, ուղղակիորեն կամ անուղղակիորեն, ահաբեկչության հետ կապված անհատներին կամ կազմակերպություններին սատարելու համար: Համաձայն այս քաղաքականությանը, ՄԱԶԾ նախաձեռնում է ողջամիտ բոլոր ջանքերը ապահովելու համար, որ սույն Համաձայնագրով տրամադրված դոնորի միջոցներից և ոչ մեկ մաս չի օգտագործվում ահաբեկչության հետ կապված անհատներին կամ կազմակերպություններին սատարելու համար:

Article XI

1. After consultations have taken place between the two Parties to this Agreement and provided that the funds from the Contribution already received are, together with other funds available to the Project, sufficient to meet all commitments and liabilities incurred in the implementation of the Project, this Agreement may be terminated by UNDP or by the Yerevan Community. The Agreement shall cease to be in force thirty days after either of the Parties may have given notice in writing to the other Party of its decision to terminate the Agreement.

2. If the unutilized Contribution-payments, together with other funds available to the Project, are insufficient to meet such commitments and liabilities, UNDP shall notify the Yerevan Community and consult with the Municipality on the manner in which such commitments and liabilities may be satisfied.

3. Notwithstanding termination of this Agreement, UNDP shall continue to hold unutilized funds until all commitments and liabilities incurred in implementation of the activities financed by the Contribution have been satisfied and these activities brought to an orderly conclusion.

4. In cases where this agreement is terminated before Project completion any funds below 5,000 USD (five thousand US Dollars) that remain unexpended after all commitments and liabilities have been satisfied shall be automatically reallocated by UNDP. Any funds above 5,000 USD (five thousand US Dollars) that remain unexpended after all commitments and liabilities have been satisfied shall be reallocated by UNDP after consultation with the Yerevan Community.

Հոդված XI

1. Սույն Համաձայնագրի երկու Կողմերի միջև խորհրդակցություններից հետո և այն դեպքում, եթե Հատկացման միջոցներից արդեն իսկ ստացված գումարը, Ծրագրի տրամադրության տակ եղած մյուս ֆոնդերի հետ միասին, բավարար է Ծրագրի շրջանակներում ստանձնած բոլոր պարտավորություններն ու պարտականությունները կատարելու համար, սույն Համաձայնագիրը կարող է դադարեցվել ՄԱԶԾ-ի կամ Երևան համայնքի կողմից: Համաձայնագիրը դադարում է գործել կողմերից որևէ մեկի՝ Համաձայնագիրը դադարեցնելու որոշման մասին մյուս կողմին գրավոր ծանուցելուց երեսուն օր հետո:

2. Եթե հատկացման չօգտագործված վճարումները, ծրագրի տրամադրության տակ գտնվող այլ միջոցների հետ միասին, չեն բավականացնում վերոնշյալ հանձնառությունների և պարտավորությունների կատարման համար, ՄԱԶԾ-ն տեղեկացնում է Երևան համայնքին և վերջինիս հետ խորհրդակցում՝ նման հանձնառությունների և պարտավորությունների բավարարման եղանակի վերաբերյալ:

3. Անկախ Համաձայնագրի դադարեցումից, ՄԱԶԾ-ն շարունակում է տնօրինել Հատկացման չօգտագործված վճարումները մինչև Հատկացումով ֆինանսավորված գործողությունների իրականացումից առաջացած բոլոր հանձնառությունների և պարտավորությունների բավարարումը և այդ աշխատանքների պատշաճ եզրափակումը:

4. Այն դեպքերում, երբ այս համաձայնագիրը դադարեցվում է և մնում են մինչև 5000 ԱՄՆ դոլարի (հինգ հազար) ԱՄՆ դոլար համարժեք չսպառված միջոցներ, ապա դրանց օգտագործման փոփոխությունը ինքնաբերաբար որոշում է ՄԱԶԾ: Եթե բոլոր նախատեսված պարտավորությունների կատարումից հետո չսպառված միջոցները կազմում են 5000 ԱՄՆ դոլարից ավելի (հինգ հազար ԱՄՆ դոլար), ապա դրանց հետագա օգտագործումը որոշվում է ՄԱԶԾ կողմից Երևան համայնքի հետ խորհրդակցությունների հիման վրա:

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Article XII

Any notice or correspondence between UNDP and the Yerevan Community will be addressed as follows:

(a) To the Yerevan Community: Armenia, 0015, Yerevan, 1 Argishti Street

(b) Upon receipt of funds, UNDP shall send an electronic receipt to the Yerevan Community email address provided below as confirmation that the remitted funds have been received by UNDP

Yerevan Community email address:
hrachya.sargsyan@yerevan.am

Attention: Hrachya Sargsyan,
First Deputy Mayor of Yerevan City

(c) To UNDP: Dmitry Mariyasin, UNDP Resident Representative

Address: UN House, 14 Petros Adamyan Street, Yerevan, 0010, Armenia

Article XIII

This Agreement shall enter into force upon the signature of this Agreement by parties hereto, on the date of the last signature.

IN WITNESS WHEREOF, the undersigned, being duly authorized thereto, have signed the present Agreement in the English and Armenian languages in two copies.

Հոդված XII

ՄԱԶԾ և Երևան համայնքի միջև ցանկացած ծանուցում կամ գրագրություն պետք է ուղղվի հետևյալ հասցեներին.

ա) Երևան համայնքին. ՀՀ, 0015, ք.Երևան Արգիշտի փողոց, 1 շենք,

բ) ֆինանսավորումը ստանալուն պես ՄԱԶԾ պետք է ուղարկի էլեկտրոնային անդորրագիր Երևան համայնքի ստորև բերված էլեկտրոնային փոստի հասցեին, որպես փոխանցված գումարի ՄԱԶԾ-ի կողմից ստացման հաստատում:

Երևանի քաղաքապետարանի էլեկտրոնային փոստի հասցեն. hrachya.sargsyan@yerevan.am

Կոնտակտային անձը. Հրաչյա Սարգսյան,
Երևանի քաղաքապետի առաջին տեղակալ

գ) ՄԱԶԾ-ին. Դմիտրի Մարիասին, ՄԱԶԾ մշտական ներկայացուցիչ

Հասցեն. ՄԱԶԾ հայաստանյան գրասենյակ, ք. Երևան, 0010, Պետրոս Ադամյան փ., շ. 14

Հոդված XIII

Սույն Համաձայնագիրը ուժի մեջ է մտնում կողմերի ստորագրելուն պես, վերջին ստորագրության ամսաթվից:

Ի ՀԱՎԱՍՏՈՒՄՆ ՈՐԻ, ներքո ստորագրյալները՝ օժտված համապատասխան լիազորություններով, ստորագրեցին սույն Համաձայնագիրը անգլերեն և հայերեն լեզուներով՝ երկու վավեր օրինակից:

For the Municipality:

Երևանի համայնքի կողմից՝
Name: Hayk Marutyan
Անուն՝ Հայկ Մարության
Title: Mayor of Yerevan City
Պաշտոն՝ Երևանի քաղաքապետ

For the UNDP:

ՄԱԶԾ-ի կողմից՝
Name: Dmitry Mariyasin
Անուն՝ Դմիտրի Մարյասին
Title: UNDP Resident Representative
Պաշտոն՝ ՄԱԶԾ մշտական ներկայացուցիչ

16.12.2020

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Annex 1

Investment of the saving accumulated in 2020 at the special energy efficiency account of Yerevan Municipality

Due to energy efficiency improvement measures, certain saving emerge that are accumulated at the special account established in the framework of cooperation between Yerevan Municipality and UNDP Armenia that is under disposal of "Yerevan Municipal Illumination" CJSC. To ensure their targeted disbursement and the shortest possible payback period, it is expedient to make investments by the end of the current year by signing a contract(s) with luminaire supplier(s) services on extended payment based on guaranteed savings principle.

Yerevan Municipality and UNDP CO in Armenia agreed to include into the present demo project on energy efficient modernization the following outdoor lighting systems of Yerevan city: *streets of Ajapnyak district, courtyards and courtyard streets of the Physics Institute campus, Badal Muradyan, Davit Bek, Rostovyan streets, Tbilisyan roadway and Haghtanak district, Arshakunyats avenue, Artashat and Ashtarak roadways*. By the proposal of the Yerevan Municipality, reserve luminaires were included into the procurement process for certain previously modernized outdoor lighting systems in Yerevan. The modeling, performed by UNDP expert with application of the data provided by Yerevan Municipality on the lighting systems of the mentioned streets, allowed determining the number of luminaires to be procured and their technical parameters to ensure compliance with the lighting codes (see the table below).

According to the preliminary assessment, the procurement cost of the total 1970 luminaires of the said technical parameters will make about USD 515 thousand.

As the result of the demo project implementation, annual energy savings will make about 1.89 MWh, equivalent to USD 156 thousand, and there will be also savings of amounts allotted for maintenance. Therefore, simple payback period may possibly comprise 3,5 years.

Հավելված 1

Երևանի քաղաքապետարանի էներգաարդյունավետության հատուկ հաշվում 2020թ. կուտակված խնայողությունների ներդրում

Երևանի քաղաքապետարանի և ՄԱԶԾ-ի հետ համագործակցության շրջանակում ստեղծված և «Երքաղլույս» ՓԲԸ տնօրինության տակ գտնվող հատուկ հաշվին կուտակվում են էներգաարդյունավետության բարձրացման միջոցառումների շնորհիվ գոյացող տնտեսումներ: Դրանց նպատակային օգտագործումը, այսուհետև՝ հետգնումն առավել կարճ ժամանակամիջոցում ապահովելու համար նպատակահարմար է ներդրումներ կատարել մինչև ընթացիկ տարվա ավարտը, կնքելով էներգախնայողության և երաշխավորված տնտեսումների ծառայության պայմանագիր(գրեր) լուսատուների մատակարար(ներ)ի հետ:

Երևանի քաղաքապետարանը և ՄԱԶԾ հայաստանյան գրասենյակը համաձայնվեցին էներաարգյունավետ արդիականացման սույն նախագծում ընդգրկել Երևանի արտաքին լուսավորության հետևյալ համակարգերը. *Աջափնյակ թաղամասի փողոցներ, Ֆիզիկայի ինստիտուտի գիտավանի ներբակային և միջբակային փողոցներ, Բադալ Մուրադյան, Դավիթ Բեկ, Ռոստովյան փողոցներ, Թբիլիսյան խճուղի և Հաղթանակ թաղամաս, Արշակունյաց պողոտա, Արտաշատի և Աշտարակի խճուղիներ*: Երևանի քաղաքապետարանի առաջարկով գնման գործընթացում ներառվեցին նաև ռեզերվային լուսատուներ Երևանի արտաքին լուսավորության՝ նախկինում արդիականացված որոշ համակարգերի համար: Օգտագործելով Երևանի քաղաքապետարանի կողմից տրամադրված՝ նշված փողոցների լուսավորության համակարգերի վերաբերյալ տվյալները՝ ՄԱԶԾ փորձագետն իրականացրեց մոդելավորում, որի արդյունքների հիման վրա որոշվեցին գնվող լուսատուների՝ լուսավորության նորմերն ապահովվելու համար պահանջվող տեխնիկական հարաչափերը և քանակը (տես ստորև բերված աղյուսակը):

Համաձայն նախնական գնահատման, նշված տեխնիկական հարաչափերով ընդհանուր թվով 1970 լուսատուների ձեռքբերման արժեքը կկազմի մոտ 515 հազար ԱՄՆ դոլար:

Նախագծի իրագործման արդյունքում էներգիայի տարեկան խնայողությունը կկազմի մոտ 1.89 ՄՎտժ՝ համարժեք մոտ 156 հազար ԱՄՆ դոլարին, խնայվելու են նաև սպասարկման համար նախատեսված միջոցները: Այսինքն՝ պարզ հետգնումը հնարավոր է 3,5 տարում:

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As the result of the demo project implementation, greenhouse gas emission reduction will make about 766 ton $CO_{2eq.}$ annually.

Նախագծի իրագործման արդյունքում ջերմոցային գազերի արտանետումների կրճատումը կկազմի մոտ 766 տոննա $CO_{2համ.}$ տարեկան:

##	Street or section Փողոց կամ հատված	Street Class by RA CN 22-03-2017 Փողոցի դասն ըստ ՀՀՇՆ 22-03-2017	Quantity of luminaires, pcs Լուսատուների քանակը, հատ		
			Required Պահանջվող	Reserve Ռեզերվային	Total Ընդամենը
1	Ashtarak roadway (section 1) Աշտարակի խճուղի (հատված 1)	A2 / Ա2	248	12	260
2	Ashtarak roadway (section 2) Աշտարակի խճուղի (հատված 2)	A2 / Ա2	6	2	8
3	Joint of Ashtarak roadway Աշտարակի խճուղու ճյուղ	A2 / Ա2	4	1	5
4	Mazmanyan street Մազմանյան փողոց	B1 / Բ1	18	2	20
5	Beknazaryan street (section 1) Բեկնազարյան փողոց (հատված 1)	B1 / Բ1	18	2	20
6	Beknazaryan street (section 2) Բեկնազարյան փողոց (հատված 2)	B1 / Բ1	13	2	15
7	Margaryan street Մարգարյան փողոց	B1 / Բ1	45	4	49
8	Shinararneri street Շինարարների փողոց	B1 / Բ1	56	5	61
9	Bashinjaghyan street (section 1) Բաշինջաղյան փողոց (հատված 1)	B1 / Բ1	44	4	48
10	Bashinjaghyan street (section 2) Բաշինջաղյան փողոց (հատված 2)	B1 / Բ1	33	3	36
11	Janibekyan street (section 1) Ջանիբեկյան փողոց (հատված 1)	B1 / Բ1	20	2	22
12	Janibekyan street (section 2) Ջանիբեկյան փողոց (հատված 2)	B1 / Բ1	10	1	11
13	Arakelyan street Առաքելյան փողոց	B2 / Բ2	14	2	16
14	Estonakan street Էստոնական փողոց	B1 / Բ1	32	3	35
15	Arzoumanyan street Արզումանյան փողոց	B1 / Բ1	26	3	29
16	Abelyan street Աբելյան փողոց	B1 / Բ1	38	4	42
17	Intersection of Bashinjaghyan, Mazmanyan and Beknazaryan streets Մազմանյան-Բեկնազարյան փողոցների օղակաձև հատման կետ	B1 / Բ1 (only illuminance requirements / միայն լուսավորության պահանջներ)	19	2	21
18	Alikhanyan Brothers street Ալիխանյան եղբայրների փողոց	B2 / Բ2	50	5	55
19	Physics Institute campus courtyard streets Ֆիզիկայի գիտավանի միջբակային ճանապարհներ	C1 / Գ1	50	15	65
20	Physics Institute campus courtyards Ֆիզիկայի գիտավանի բակային ճանապարհներ	C2 / Գ2	5	15	20

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##	Street or section Փողոց կամ հատված	Street Class by RA CN 22-03-2017 Փողոցի դասն ըստ ՀՀՇՆ 22-03-2017	Quantity of luminaires, pcs Լուսատուների քանակը, հատ		
			Required Պահանջվող	Reserve Ռեզերվայի ն	Total Ընդամենը
21	Physics Institute campus Park * Ֆիզիկայի գիտավանի պուրակ	C2 / Գ2 (only illuminance requirements / միայն լուսավորության պահանջներ)	6	1	7
22	Intersection of Badal Muradyan, Gai and Tevosyan streets (demolished bridge) Գայի պողոտա և Բադալ Մուրադյան-Թևոսյան փողոցների հանգույց (քանդած կամուրջ)	A2 / Ա2 (only illuminance requirements / միայն լուսավորության պահանջներ)	15	2	17
23	Badal Muradyan street Բադալ Մուրադյան փողոց	A2 / Ա2	40	4	44
24	Davit Bek street (section 1) Դավիթ Բեկի փողոց (հատված 1)	A2 / Ա2	10	1	11
25	Davit Bek street (section 2) Դավիթ Բեկի փողոց (հատված 2)	A2 / Ա2	8	1	9
26	Davit Bek street (section 3) Դավիթ Բեկի փողոց (հատված 3)	A2 / Ա2	42	4	46
27	Davit Bek street (section 4) Դավիթ Բեկի փողոց (հատված 4)	A2 / Ա2	112	8	120
28	Davit Bek street (section 5) Դավիթ Բեկի փողոց (հատված 5)	A2 / Ա2	182	8	190
29	Joint of Davit Bek street Դավիթ Բեկի փողոցի ճյուղեր	B1 / Բ1	8	2	10
30	Rostovyan street Ռոստովյամ փողոց	A2 / Ա2	82	8	90
31	Tbilisyan street (section 1) Թբիլիսյան խճուղի (հատված 1)	A2 / Ա2	250	11	261
32	Tbilisyan street (section 2) Թբիլիսյան խճուղի (հատված 2)	A2 / Ա2	30	2	32
33	Joint of Tbilisyan street (section 1) Թբիլիսյան խճուղի ճյուղեր (հատված 1)	B1 / Բ1	8	2	10
34	Joint of Tbilisyan street (section 2) Թբիլիսյան խճուղի ճյուղեր (հատված 2)	B1 / Բ1	8	2	10
35	Part of Arshakunyats street Արշակունյաց պողոտայի մաս	A2 / Ա2	8	2	10
36	Artashat roadway Արտաշատի խճուղի	A2 / Ա2	12	3	15
37	Hakhtanak district entrance Հաղթանակ թաղամասի մուտք	B2 / Բ2	4	2	6
38	Hakhtanak district Հաղթանակ թաղամաս	C2 / Գ2	170	10	180
39	Fuchik street (section 1) Ֆուչիկի փողոց (հատված 1)	B2 / Բ2	27	2	29
40	Fuchik street (section 2) Ֆուչիկի փողոց (հատված 2)	B2 / Բ2	33	2	35
		Ընդամենը / Total	**1804**	**166**	**1970**

* On top installation, decorative, for parks illumination /
Տեղադրում գագաթին՝ դեկորատիվ, այգիների լուսավորման համար

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ANNEX IV. Virtual Project Appraisal Committee (PAC) Meeting Minutes

United Nations Development Programme

NOTES

Virtual Project Appraisal Committee (PAC) Meeting

"Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions: PHASE II" UNDP / 00133238 - 00125350

01 March 2021

Attendees:

Ms. Mihaela Stojkoska, UNDP Deputy Resident Representative in Armenia, PAC Chair

Mr. Hrachya Sargsyan, Deputy Mayor, Yerevan Municipality

Mr. Galust Vardanyan, Director, Yerevan Municipal Illumination CJSC

Mr. Artashes Darbinyan, UNDP Operations Manager

Mr. Davit Asatryan, Head of UNDP Finance Unit

Mr. Hovhannes Ghazaryan, Team Leader, UNDP Climate, Environment and Resilience Portfolio

Ms. Tatevik Koloyan, Team Leader, Innovation and SDG Finance Portfolio

Ms. Armine Hovhannisyan, UNDP Result-Based Management and Gender Equality Programme Officer

Key Points:

- The virtual PAC meeting was concluded on 01 March 2021 through e-mail circulation (initiated on 24 February 2021). The key points provided by PAC members are indicated below in the "Comments, Reflections" section.
- The objective of the project is to implement PHASE II of "Supporting Communities of Armenia to Adopt and Implement Climate Smart Solutions" UNDP project and scale-up the support to Yerevan and other partner municipalities in promotion of urban green solutions to demonstrate greenhouse gas emissions reduction in line with municipal sustainable energy action plans. The project is in compliance with the national priorities to strengthen the economic and energy resilience of Armenia by promoting resource efficient and climate resilient growth. The project will be implemented in cooperation with cooperation with Yerevan Municipality based on the Financial Agreement signed on 16.12.2020, and decision of the Board of municipal revolving fund (16.11.2020) established in "Yerevan Illumination Company" CJSC the framework of "Green Urban Lighting" UNDP-GEF project (completed in 2018).
- The Theory of Change approach of the Project is towards promotion of understanding of benefits of the energy efficiency through demonstration of the results of the concrete actions on reconstruction of the street lighting systems. The joint monitoring of the GHG emissions reduction and savings in energy consumption conducted in cooperation with municipality specialists and UNDP experts will contribute to the capacity building of municipalities. The benefits of the energy efficiency measures properly valuated can contribute to the justification performance based scheme application and leveraging private finance for communities.

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- The project will be implemented in DIM modality. The Committee took note of the DIM authorization and the checklist is signed and hereto attached. Project risks, quality assurance, gender mainstreaming, monitoring framework, management arrangements and governance framework are detailed in the full Project Document (ProDoc).

Comments, Reflections:

Deputy Mayor Mr. Hrachya Sargsyan had no comment on the Project Document contents and expressed readiness on behalf of Yerevan Municipality to support the project's implementation.

Mr. Galust Vardanyan supported the initiative and expressed his willingness for continuous cooperation on behalf of "Yerevan Municipal Illumination" CJSC. He also suggested to add the Yerevan Municipality contribution amount in "Resources Required to Achieve the Expected Results".

Mr. Artashes Darbinyan noted that the roles of a supplier and a beneficiary cannot be held by the same party, so while the supplier is necessarily Yerevan Community/Municipality, "Yerevan Municipal Illumination" CJSC is the actual beneficiary.

Ms. Armine Hovhannisyan worked through the Project Document and provided detailed comments and recommendations with the focus on Social and Environmental Screening and on the Results Framework.

The comments were accepted and incorporated into the revised Project Document.

Ms. Diana Harutyunyan highlighted that the project is of iterative nature and may involve other relevant initiatives and cooperation with other municipalities in the course of implementation, thus the annual workplans can be discussed with the Project Board and required changes will be done in next year's action plans.

The revised Project Document was recirculated and endorsed by PAC members.

Conclusions:

- The Project has been endorsed and recommended for implementation with respective amendments in the Project Document.

_____

Mihaela Stojkoska

UNDP Resident Representative a.i. in Armenia

Annex V. Quality Assurance Report

Design & Appraisal Stage Quality Assurance Report

Form Status: Approved

Overall Rating:	Needs Improvement
Decision:	Approve with qualifications: The project has issues that must be addressed before the project document can be approved. Any management actions must be addressed in a timely manner.
Portfolio/Project Number:	00133238
Portfolio/Project Title:	Phase II_Climate Smart Solutions
Portfolio/Project Date:	2021-01-07 / 2025-06-30

Strategic **Quality Rating: Highly Satisfactory**

1. Does the project specify how it will contribute to higher level change through linkage to the programme's Theory of Change?

- ○ 3: The project is clearly linked to the programme's theory of change. It has an explicit change pathway that explains how the project will contribute to outcome level change and why the project's strategy will likely lead to this change. This analysis is backed by credible evidence of what works effectively in this context and includes assumptions and risks.
- ◉ *2: The project is clearly linked to the programme's theory of change. It has a change pathway that explains how the project will contribute to outcome-level change and why the project strategy will likely lead to this change.*
- ○ 1: The project document may describe in generic terms how the project will contribute to development results, without an explicit link to the programme's theory of change.

Evidence:

This project is the scaling up intervention based on t he successful experience of the previous demonstra tions. The Theory of Change approach of the Project is towards promotion of understanding of benefits of the energy efficiency through demonstration of the r esults of the concrete actions on reconstruction of th e street lighting systems. The joint monitoring of the GHG emissions reduction and savings in energy con sumption conducted by the project experts and muni cipality specialists contributed to the capacity buildin g of municipalities. The benefits of the energy efficie ncy measures properly valuated can contribute to th e justification of PPP and ESCo schemes.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

2. Is the project aligned with the UNDP Strategic Plan?

- ○ 3: The project responds to at least one of the development settings as specified in the Strategic Plan[1] and adapts at least one Signature Solution[2]. The project's RRF includes all the relevant SP output indicators. (all must be true)
- ◉ *2: The project responds to at least one of the development settings as specified in the Strategic Plan[4]. The project's RRF includes at least one SP output indicator, if relevant. (both must be true)*
- ○ 1: The project responds to a partner's identified need, but this need falls outside of the UNDP Strategic Plan. Also select this option if none of the relevant SP indicators are included in the RRF.

Evidence:

The project operates under Strategic Plan Output 2. 5.1.

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No documents available.			

3. Is the project linked to the programme outputs? (i.e., UNDAF Results Group Workplan/CPD, RPD or Strategic Plan IRRF for global projects/strategic interventions not part of a programme)

- (●) *Yes*
- ( ) No

Evidence:

The project is aligned with SDG target 7.a, as well a s UNDAF Outcome 7 and CPD Outcome 4 (13).

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#	File Name	Modified By	Modified On
No documents available.			

Relevant **Quality Rating: Highly Satisfactory**

4. Do the project target groups leave furthest behind?

- ( ) 3: The target groups are clearly specified, prioritising discriminated, and marginalized groups left furthest behind, identified through a rigorous process based on evidence.
- (●) *2: The target groups are clearly specified, prioritizing groups left furthest behind.*
- ( ) 1: The target groups are not clearly specified.

Evidence:

The key target groups are beneficiaries in the partici pating cities; currently, these are Yerevan city reside nts using the streets with upgraded lighting systems and specialized personnel of Yerevan Municipal illu mination CJSC.
The groups left furthest behind are prioritized by the project design, with higher comfort and safety in pub lic places and on the roads benefiting the most vulne rable the first.

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No documents available.			

5. Have knowledge, good practices, and past lessons learned of UNDP and others informed the project design?

- 3: Knowledge and lessons learned backed by credible evidence from sources such as evaluation, corporate policies/strategies, and/or monitoring have been explicitly used, with appropriate referencing, to justify the approach used by the project.
- *2: The project design mentions knowledge and lessons learned backed by evidence/sources but have not been used to justify the approach selected.*
- 1: There is little, or no mention of knowledge and lessons learned informing the project design. Any references made are anecdotal and not backed by evidence.

Evidence:

The project evolved as a replication vehicle for impr ovement efforts of municipal lighting systems. As ref erenced in other sections of this form, the project bui lds upon the lighting systems energy performance u pgrade efforts implemented since early 2014, and ta kes into account the respective lessons learned.

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#	File Name	Modified By	Modified On
No documents available.			

6. Does UNDP have a clear advantage to engage in the role envisioned by the project vis-à-vis national / regional / global partners and other actors?

- *3: An analysis has been conducted on the role of other partners in the area where the project intends to work, and credible evidence supports the proposed engagement of UNDP and partners through the project, including identification of potential funding partners. It is clear how results achieved by partners will complement the project's intended results and a communication strategy is in place to communicate results and raise visibility vis-à-vis key partners. Options for south-south and triangular cooperation have been considered, as appropriate. (all must be true)*
- 2: Some analysis has been conducted on the role of other partners in the area where the project intends to work, and relatively limited evidence supports the proposed engagement of and division of labour between UNDP and partners through the project, with unclear funding and communications strategies or plans.
- 1: No clear analysis has been conducted on the role of other partners in the area that the project intends to work. There is risk that the project overlaps and/or does not coordinate with partners' interventions in this area. Options for south-south and triangular cooperation have not been considered, despite its potential relevance.

Evidence:

The project's applied nature implies clear distribution of roles and responsibilities. In particular, replications include joint selection of the sites and identification of necessary inputs, transfer of contributions from the municipal revolving fund established at Yerevan Municipal Illumination CJSC with support and participation of UNDP in 2015, procurement of luminaires by UNDP, training of technical staff by the supplier's consultant or by the Project's experts, joint monitoring report preparation, ensuring coordinated communication with the third parties and the public.

See the seminal project's Lessons Learned Report here: http://www.nature-ic.am/en/publication/Lessons%20Learned%20Report%20Green%20Urban%20Lighting%20Project/10579

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

Principled **Quality Rating: Needs Improvement**

7. Does the project apply a human rights-based approach?

- 3: The project is guided by human rights and incorporates the principles of accountability, meaningful participation, and non-discrimination in the project's strategy. The project upholds the relevant international and national laws and standards. Any potential adverse impacts on enjoyment of human rights were rigorously identified and assessed as relevant, with appropriate mitigation and management measures incorporated into project design and budget. (all must be true)
- *2: The project is guided by human rights by prioritizing accountability, meaningful participation and non-discrimination. Potential adverse impacts on enjoyment of human rights were identified and assessed as relevant, and appropriate mitigation and management measures incorporated into the project design and budget. (both must be true)*
- 1: No evidence that the project is guided by human rights. Limited or no evidence that potential adverse impacts on enjoyment of human rights were considered.

Evidence:

The project contributes to human rights by increasin g security in public places, such as roads and parks. The key input into higher quality of time spent in pub lic places is through the consistent and continuous u pgrade of Yerevan city's municipal lighting systems. This includes optometric estimations for each select ed street or garden and consequent replacement of t he existing low-efficiency lamps with modern light-e mitting diode based energy efficient luminaires. The results include longer and safer outdoor hours for th e city residents and guests, and introducing technica l innovations into the public's everyday life.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

8. Does the project use gender analysis in the project design?

- 3: A participatory gender analysis has been conducted and results from this gender analysis inform the development challenge, strategy and expected results sections of the project document. Outputs and indicators of the results framework include explicit references to gender equality, and specific indicators measure and monitor results to ensure women are fully benefitting from the project. (all must be true)
- 2: A basic gender analysis has been carried out and results from this analysis are scattered (i.e., fragmented and not consistent) across the development challenge and strategy sections of the project document. The results framework may include some gender sensitive outputs and/or activities but gender inequalities are not consistently integrated across each output. (all must be true)
- *1: The project design may or may not mention information and/or data on the differential impact of the project's development situation on gender relations, women and men, but the gender inequalities have not been clearly identified and reflected in the project document.*

Evidence:

The project's applied nature implies clear distribution of roles and responsibilities. In particular, replications include joint selection of the sites and identification of necessary inputs, transfer of contributions from the municipal revolving fund established at Yerevan Municipal Illumination CJSC with support and participation of UNDP in 2015, procurement of luminaires by UNDP, training of technical staff by the supplier's consultant or by the Project's experts, joint monitoring report preparation, ensuring coordinated communication with the third parties and the public.

Management Response:

In accordance with its Gender Marker GEN1, the project contributes to improving illumination of streets to increase security on the roads and on the pedestrian part of the streets, which is particularly valued by women and girls.
The trainings of professional personnel as performed or supported in the framework of the project do not execute discrimination by their very design. Nevertheless, the sector has been historically dominated by men – professionals in the sector – who climb the lighting poles and maintain electronic equipment.

List of Uploaded Documents

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No documents available.			

9. Did the project support the resilience and sustainability of societies and/or ecosystems?

- ○ 3: Credible evidence that the project addresses sustainability and resilience dimensions of development challenges, which are integrated in the project strategy and design. The project reflects the interconnections between the social, economic and environmental dimensions of sustainable development. Relevant shocks, hazards and adverse social and environmental impacts have been identified and rigorously assessed with appropriate management and mitigation measures incorporated into project design and budget. (all must be true)
- ◉ *2: The project design integrates sustainability and resilience dimensions of development challenges. Relevant shocks, hazards and adverse social and environmental impacts have been identified and assessed, and relevant management and mitigation measures incorporated into project design and budget. (both must be true)*
- ○ 1: Sustainability and resilience dimensions and impacts were not adequately considered.

Evidence:

The project results in CO2 emission reduction thus c ontributing to the environmental sustainability, and o perates consistently the municipal revolving fund for energy performance improvement projects in Yereva n, thus strengthening the city's resilience in the face of climate change. The project extends better road l uminance to all societal strata, introduces new cultur e into business environment and induces the respec tive market transformation, while SESP analysis is a n integral part of the ProDoc.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

10. Has the Social and Environmental Screening Procedure (SESP) been conducted to identify potential social and environmental impacts and risks? The SESP is not required for projects in which UNDP is Administrative Agent only and/or projects comprised solely of reports, coordination of events, trainings, workshops, meetings, conferences and/or communication materials and information dissemination. [if yes, upload the completed checklist. If SESP is not required, provide the reason for the exemption in the evidence section.]

- (●) *Yes*
- ( ) No
- ( ) SESP not required because project consists solely of (Select all exemption criteria that apply)
  - [ ] 1: Preparation and dissemination of reports, documents and communication materials
  - [ ] 2: Organization of an event, workshop, training
  - [ ] 3: Strengthening capacities of partners to participate in international negotiations and conferences
  - [ ] 4: Partnership coordination (including UN coordination) and management of networks
  - [ ] 5: Global/regional projects with no country level activities (e.g. knowledge management, inter-governmental processes)
  - [ ] 6: UNDP acting as Administrative Agent

Evidence:

The replacement of the high-pressure sodium lamps with new light-emitting diode energy efficient luminaires will generate waste. On the other hand, the volume of waste is finite, being limited to the amount of old inefficient lamps to replace. See Annex 1 of the ProDoc

List of Uploaded Documents

#	File Name	Risk Category	Risk Requirements	Document Status	Modified By	Modified On
1	SESP-Smart-project-PhaseII-signed_7732_110 (https://intranet.undp.org/apps/ProjectQA/QAFormDocuments/SESP-Smart-project-PhaseII-signed_7732_110.pdf)	Low		Final	marianna.arzangulyan@undp.org	3/15/2021 4:55:00 PM

Management & Monitoring **Quality Rating: Satisfactory**

11. Does the project have a strong results framework?

- 3: The project's selection of outputs and activities are at an appropriate level. Outputs are accompanied by SMART, results-oriented indicators that measure the key expected development changes, each with credible data sources and populated baselines and targets, including gender sensitive, target group focused, sex-disaggregated indicators where appropriate. (all must be true)
- *2: The project's selection of outputs and activities are at an appropriate level. Outputs are accompanied by SMART, results-oriented indicators, but baselines, targets and data sources may not yet be fully specified. Some use of target group focused, sex-disaggregated indicators, as appropriate. (all must be true)*
- 1: The project's selection of outputs and activities are not at an appropriate level; outputs are not accompanied by SMART, results-oriented indicators that measure the expected change and have not been populated with baselines and targets; data sources are not specified, and/or no gender sensitive, sex-disaggregation of indicators. (if any is true)

Evidence:

Being implemented by UNDP, the project's monitoring framework is set up in accordance with the latest international requirements, see the Results Framework in the Section V of the ProDoc.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

12. Is the project's governance mechanism clearly defined in the project document, including composition of the project board?

- 3: The project's governance mechanism is fully defined. Individuals have been specified for each position in the governance mechanism (especially all members of the project board.) Project Board members have agreed on their roles and responsibilities as specified in the terms of reference. The ToR of the project board has been attached to the project document. (all must be true)
- *2: The project's governance mechanism is defined; specific institutions are noted as holding key governance roles, but individuals may not have been specified yet. The project document lists the most important responsibilities of the project board, project director/manager and quality assurance roles. (all must be true)*
- 1: The project's governance mechanism is loosely defined in the project document, only mentioning key roles that will need to be filled at a later date. No information on the responsibilities of key positions in the governance mechanism is provided.

Evidence:

Section VIII. Governance and Management Arrangements, of the ProDoc details on the managerial decision making process, including the composition of the Project Board and functions of the UNDP officers and Government representatives involved into the project's implementation.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

13. Have the project risks been identified with clear plans stated to manage and mitigate each risk?

- 3: Project risks related to the achievement of results are fully described in the project risk log, based on comprehensive analysis drawing on the programme's theory of change, Social and Environmental Standards and screening, situation analysis, capacity assessments and other analysis such as funding potential and reputational risk. Risks have been identified through a consultative process with key internal and external stakeholders, including consultation with the UNDP Security Office as required. Clear and complete plan in place to manage and mitigate each risk, including security risks, reflected in project budgeting and monitoring plans. (both must be true)
- *2: Project risks related to the achievement of results are identified in the initial project risk log based on a minimum level of analysis and consultation, with mitigation measures identified for each risk.*
- 1: Some risks may be identified in the initial project risk log, but no evidence of consultation or analysis and no clear risk mitigation measures identified. This option is also selected if risks are not clearly identified, no initial risk log is included with the project document and/or no security risk management process has taken place for the project.

Evidence:

Annex II. Risk Analysis, of the ProDoc presents the project's take on the risks possibly affecting its implementation and outlines the approach to effectively manage the identified risks.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

Efficient **Quality Rating: Highly Satisfactory**

14. Have specific measures for ensuring cost-efficient use of resources been explicitly mentioned as part of the project design? This can include, for example:
i) Using the theory of change analysis to explore different options of achieving the maximum results with the resources available.
ii) Using a portfolio management approach to improve cost effectiveness through synergies with other interventions.
iii) Through joint operations (e.g., monitoring or procurement) with other partners.
iv) Sharing resources or coordinating delivery with other projects.
v) Using innovative approaches and technologies to reduce the cost of service delivery or other types of interventions.

- (●) *Yes*
- ( ) No

Evidence:

All the five approaches were utilized in accordance with the project's specifics: i) uses the experience ac cumulated since 2014 in municipal lighting projects, i i) shares the services of UNDP personnel working fo r several projects, iii) joints efforts with other initiativ es for selected demonstration projects or for hiring a n expert whose services can be shared amount two or more projects, iv) sharing expertise, office space, insights etc. with the colleagues, v) the innovative fin ancing scheme of the municipal lighting improvemen t continuously under review and finetuning.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

15. Is the budget justified and supported with valid estimates?

- 3: The project's budget is at the activity level with funding sources, and is specified for the duration of the project period in a multi-year budget. Realistic resource mobilisation plans are in place to fill unfunded components. Costs are supported with valid estimates using benchmarks from similar projects or activities. Cost implications from inflation and foreign exchange exposure have been estimated and incorporated in the budget. Adequate costs for monitoring, evaluation, communications and security have been incorporated.
- *2: The project's budget is at the activity level with funding sources, when possible, and is specified for the duration of the project in a multi-year budget, but no funding plan is in place. Costs are supported with valid estimates based on prevailing rates.*
- 1: The project's budget is not specified at the activity level, and/or may not be captured in a multi-year budget.

Evidence:

The budget as per the demonstration projects implemented in Yerevan city is based on two major pillars: contributions from Yerevan Municipality budget and inputs from the municipal revolving funds established in 2015 and fully operational since then.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

16. Is the Country Office / Regional Hub / Global Project fully recovering the costs involved with project implementation?

- *3: The budget fully covers all project costs that are attributable to the project, including programme management and development effectiveness services related to strategic country programme planning, quality assurance, pipeline development, policy advocacy services, finance, procurement, human resources, administration, issuance of contracts, security, travel, assets, general services, information and communications based on full costing in accordance with prevailing UNDP policies (i.e., UPL, LPL.)*
- 2: The budget covers significant project costs that are attributable to the project based on prevailing UNDP policies (i.e., UPL, LPL) as relevant.
- 1: The budget does not adequately cover project costs that are attributable to the project, and UNDP is cross-subsidizing the project.

Evidence:

Yes, the respective Financing Agreements incorporate a clause on General Management Support service fees.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

Effective **Quality Rating: Satisfactory**

17. Have targeted groups been engaged in the design of the project?

- ◉ *3: Credible evidence that all targeted groups, prioritising discriminated and marginalized populations that will be involved in or affected by the project, have been actively engaged in the design of the project. The project has an explicit strategy to identify, engage and ensure the meaningful participation of target groups as stakeholders throughout the project, including through monitoring and decision-making (e.g., representation on the project board, inclusion in samples for evaluations, etc.)*
- ○ 2: Some evidence that key targeted groups have been consulted in the design of the project.
- ○ 1: No evidence of engagement with targeted groups during project design.
- ○ Not Applicable

Evidence:

The project's positive effect on the marginalized gro ups is a by-product of the general increase in street safety and comfort and prolonged hours of public sp aces' availability that emerge of the higher energy ef ficiency of municipal lighting systems as the key out put of the demonstration projects. In order to minimi ze the traffic victims UNDP and Municipality agreed t o engage into additional partnership to address lighti ng of the street cross ways.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

18. Does the project plan for adaptation and course correction if regular monitoring activities, evaluation, and lesson learned demonstrate there are better approaches to achieve the intended results and/or circumstances change during implementation?

- (●) *Yes*
- ( ) No

Evidence:

Continuous consultations are held with the Yerevan Municipality to ensure coherent progress of the project in accordance with the signed Financing Agreements.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

19. The gender marker for all project outputs are scored at GEN2 or GEN3, indicating that gender has been fully mainstreamed into all project outputs at a minimum.

- ( ) Yes
- (●) *No*

Evidence:

The project's gender market is GEN1. The project does not have components or activities that focus on increasing gender equality and the empowerment of women.

Management Response:

By its design, the contributes to gender equality, mainly via improving road illumination and thus street safety, and indoor lighting systems and thus room comfort. While the former enables longer hour safer outdoor activities, the latter improves quality of indoor time.

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

Sustainability & National Ownership **Quality Rating:** Highly Satisfactory

20. Have national / regional / global partners led, or proactively engaged in, the design of the project?

- 3: National partners (or regional/global partners for regional and global projects) have full ownership of the project and led the process of the development of the project jointly with UNDP.
- *2: The project has been developed by UNDP in close consultation with national / regional / global partners.*
- 1: The project has been developed by UNDP with limited or no engagement with national partners.

Evidence:

Yerevan Municipality applies routinely to use UNDP procurement engine to ensure high quality limunaire s for the streets and public buildings of the city and p articipates in assessment of the bids.

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No documents available.			

21. Are key institutions and systems identified, and is there a strategy for strengthening specific / comprehensive capacities based on capacity assessments conducted?

- 3: The project has a strategy for strengthening specific capacities of national institutions and/or actors based on a completed capacity assessment. This strategy includes an approach to regularly monitor national capacities using clear indicators and rigorous methods of data collection, and adjust the strategy to strengthen national capacities accordingly.
- 2: A capacity assessment has been completed. There are plans to develop a strategy to strengthen specific capacities of national institutions and/or actors based on the results of the capacity assessment.
- 1: Capacity assessments have not been carried out.
- *Not Applicable*

Evidence:

The project's objective is a very concrete and narro wly specific one, the capacity strengthening refers m ainly to the municipal lighting systems' supporting in stitutions and financial mechanisms.

List of Uploaded Documents

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No documents available.			

22. Is there is a clear strategy embedded in the project specifying how the project will use national systems (i.e., procurement, monitoring, evaluations, etc.,) to the extent possible?

- ○ Yes
- ○ No
- ◉ *Not Applicable*

Evidence:

The project uses UNDP procedures for procuremen t, monitoring, evaluations, and the key national partn er and donor, Yerevan Municipality, takes part in all t he major decision-making, such as luminaire supplie r selection etc.

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No documents available.			

23. Is there a clear transition arrangement / phase-out plan developed with key stakeholders in order to sustain or scale up results (including resource mobilisation and communications strategy)?

- ◉ *Yes*
- ○ No

Evidence:

The scale-up of the project's activities is based on th e continuous and expansive engagement of the mun icipal revolving fund of Yerevan city (detailed under Q6).

List of Uploaded Documents

#	File Name	Modified By	Modified On
No documents available.			

QA Summary/LPAC Comments

- Yerevan Municipality had no comment to the Project Document and expressed its readiness to support the projec t's implementation. It also suggested adding the Yerevan Municipality contribution amount in "Resources Required to Achieve the Expected Results".
- UNDP noted that the roles of a supplier and a beneficiary cannot be held by the same party, so while the supplier is necessarily Yerevan Community/Municipality, "Yerevan Municipal Illumination" CJSC is the actual beneficiary.

The revised Project Document was recirculated, endorsed, and recommended for implementation by the PAC memb ers.